

11. FINANCIAL INFORMATION (Cont'd)

Our Group's trade payables turnover period improved from 150 days in FYE 2022 to 138 days in FYE 2023, mainly due to prompt payment to our suppliers and subcontractors. However, in FYE 2024, the trade payables turnover period increased from 138 days to 155 days, mainly due to the increased in construction activities and extended credit terms offered by our subcontractors and suppliers for better cash flow management.

Subsequently, our Group's trade payables turnover period improved to 143 days in FYE 2025 and further to 129 days in FPE 2026. The improvement was mainly attributable to the timely settlement of outstanding balances owing to suppliers and subcontractors.

We have established a long-standing relationship with our suppliers and subcontractors, and we have not encountered any disputes with our suppliers and subcontractors despite slower payments to them. Our suppliers and subcontractors have allowed a longer period for payment in view of our established relationship with them, our payment history and our credentials.

The ageing analysis of our trade payables (excluding retention sum) as at 30 April 2026 is as follows:

	Trade payables as at 30 April 2026		Amount paid from 1 May 2026 to the LPD	Balance trade payables as at the LPD
	RM'000	% of trade payables (a) / total of (a)	RM'000	RM'000
	(a)		(b)	(c) = (a)-(b)
Neither past due nor impaired	29,166	20.71	(8,458)	20,708
Past due:				
- 1 to 30 days	23,478	16.67	(8,270)	15,208
- 31 to 60 days	14,716	10.45	(5,250)	9,466
- 61 to 90 days	19,213	13.64	(9,061)	10,152
- More than 90 days	54,274	38.53	(21,648)	32,626
	111,681	79.29	(44,229)	67,452
	140,847	100.00	(52,687)	88,160

As at the LPD, we have paid RM52.69 million or 37.41% of our trade payables as at 30 April 2026. Our Group has yet to make payment for the remaining balance of RM88.16 million as at the LPD, of which RM67.45 million have exceeded the credit period. This was mainly resulted from our working capital management strategy to utilise the credit term granted by our suppliers in order to reduce the utilisation of our trade facilities and finance cost. Nevertheless, we continue to maintain good relationship with our subcontractors and suppliers.

As at the LPD, save as disclosed in Sections 11.3.6(b), (f) to (j) of this Prospectus, there are no disputes in respect of our trade payables and no legal action has been initiated by our suppliers and subcontractors to demand for payment.

11. FINANCIAL INFORMATION (Cont'd)**11.4.3 Current ratio**

A summary of our current ratio for the Financial Periods Under Review is as follows:-

	Audited				
	As at 31 December				As at 30 April
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Current assets	157,253	171,111	169,491	252,479	290,587
Current liabilities	(165,874)	(177,617)	(166,827)	(251,350)	(287,805)
Net current (liabilities) / assets	(8,621)	(6,506)	2,664	1,129	2,782
Current ratio (times)	0.95	0.96	1.02	1.00	1.01

As at 31 December 2022 and 2023, our current ratio remained relatively stable at 0.95 times and 0.96 times. The current ratio is slightly lower than 1.00 times as at 31 December 2022 and 2023, mainly due to higher outstanding trade payables and the increase in utilisation of trade financing facilities for working capital purposes.

However, our current ratio improved from 0.96 times as at 31 December 2023 to 1.02 times as at 31 December 2024, mainly due to decrease in contract liabilities where advanced deposits previously received from the customers were offset against progress billing issued during the year.

As at 31 December 2025, our Group's current ratio decreased marginally from 1.02 times as at 31 December 2024 to 1.00 times. The marginal decrease was mainly attributable to the increase in current liabilities, which outpaced the increase in current assets during the financial year. The increase in current liabilities was mainly due to higher outstanding trade payables and higher utilisation of trade financing facilities in FYE 2025.

As at 30 April 2026, our current ratio remained relatively stable at 1.01 times.

11.4.4 Gearing ratio

A summary of our gearing ratio for the Financial Periods Under Review is as follows:-

	Audited				
	As at 31 December				As at 30 April
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Total borrowings	40,978	49,135	53,816	83,266	99,412
Total equity	1,296	7,027	8,299	24,263	30,272
Gearing ratio (times) ⁽¹⁾	31.62	6.99	6.48	3.43	3.28

Note:

- (1) Computed based on total interest-bearing borrowings (excluding lease liabilities for right-of-use assets) over total equity as at the end of each financial year.

11. FINANCIAL INFORMATION (Cont'd)

Our gearing ratio ranged between 3.28 times and 31.62 times for the Financial Periods Under Review.

Our Group recorded a gearing ratio of 31.62 times as at 31 December 2022, mainly attributable to our Group's accumulated losses of RM3.70 million as at 31 December 2022 arising from the re-audit of our Group's financial statements for FYE 2022 and resulting adjustments made for the Listing ("**Re-audit**"), which resulted in a lower total equity base, coupled with total borrowings amounting to RM40.98 million as at 31 December 2022.

Our gearing ratio decreased from 31.62 times as at 31 December 2022 to 6.99 times as at 31 December 2023. This was attributable to higher profits generated in FYE 2023, which resulted in an increase in total equity by RM5.73 million or 440.77%, from RM1.30 million as at 31 December 2022 to RM7.03 million as at 31 December 2023.

Subsequently, our Group's gearing ratio slightly decreased from 6.99 times as at 31 December 2023 to 6.48 times as at 31 December 2024, mainly attributable to an increase in total equity of RM1.27 million or 18.07%, mainly resulted in higher profits generated in FYE 2024.

As at 31 December 2025, our Group's gearing ratio decreased from 6.48 times as at 31 December 2024 to 3.43 times as at 31 December 2025, mainly attributable to the increase in total equity arising from the Share Issuance and profit generated during FYE 2025.

Subsequently, the gearing ratio decreased further to 3.28 times as at 30 April 2026, mainly attributable to the increase in total equity arising from the profit generated during FPE 2026.

Despite the high gearing ratio, our Group's historical ability to service our debt obligations during the Financial Periods Under Review are as follows:

	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Principal repayments	4,159	4,516	4,946	3,515	1,369
Finance costs ⁽¹⁾	2,249	2,578	3,412	3,884	1,780
Total debt obligations	6,408	7,094	8,358	7,399	3,149
EBITDA	7,812	8,262	26,321	22,888	11,557
Debt service coverage ratio	1.22	1.16	3.15	3.09	3.67

Note:

(1) Exclude the bank guarantee charges, lease liability interests and late payment interests.

During the Financial Periods Under Review, our Group's debt service coverage ratio is more than 1 time, indicating that we have generated sufficient earnings to meet its debt obligations during the Financial Periods Under Review. Further, our Group has not defaulted in servicing its principal repayments or finance costs to its financiers during the Financial Periods Under Review.

While we have breached certain financial covenants imposed by its financiers, i.e. maintaining gearing ratio of more than 2.50 times during the Financial Periods Under Review, we have obtained a one-off formal indulgence from the respective financiers confirming that the covenant breaches in FYE 2024 and FYE 2025 were waived, and no immediate repayment obligations or penalties were imposed.

11. FINANCIAL INFORMATION (Cont'd)

Upon completion of our Listing and utilisation of IPO proceeds for the repayment of bank borrowings as set out in Section 4.9.1 of this Prospectus, we are expected to record a pro-forma gearing ratio of 1.67 times.

11.5 TREND INFORMATION

As at the LPD, save as disclosed in Section 11 of this Prospectus, our Board confirms that our operations have not been and are not expected to be affected by any of the following:

- (a) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our Group's financial performance, position and operations other than those discussed in Sections 6 and 8 of this Prospectus;
- (b) material commitments for capital expenditure save as disclosed in Section 11.3.5 of this Prospectus;
- (c) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group save as discussed in Sections 6 and 8 of this Prospectus;
- (d) known trends, demands, commitments, events or uncertainties that have resulted in a substantial increase in our Group's revenue save for those that had been discussed in Sections 11.2 of this Prospectus as well as our business and industry overview in Sections 6 and 7 of this Prospectus; and
- (e) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our Group's historical financial statements not necessarily indicative of the future financial performance and position other than those discussed in Sections 8 and 11 of this Prospectus.

Our Board is optimistic about the future prospects of our Group given the positive outlook of the construction industry in Malaysia as set out in the IMR Report in Section 7 of this Prospectus, our Group's competitive strengths set out in Section 6.5.8 of this Prospectus and our Group's intention to implement the business strategies as set out in Section 6.7 of this Prospectus.

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11. FINANCIAL INFORMATION (Cont'd)**11.6 ORDER BOOK**

As at the LPD, our order book, as represented by the unbilled contract value of our ongoing projects, stood at approximately RM1.00 billion as follows:

Projects	Expected completion date	Percentage of completion as at the LPD %	Total contract value RM'000	Total unbilled contract value as at the LPD RM'000	FYE 2026 RM'000	FYE 2027 RM'000	FYE 2028 RM'000	FYE 2029 RM'000	FYE 2030 RM'000
Residential segment									
Tamansari Rumah Selangorku Project	⁽¹⁾ April 2026	97.09	33,330	970	970	-	-	-	-
111 Menerung Project	⁽²⁾ September 2026	51.29	117,300	57,131	57,131	-	-	-	-
The Riva – Gravit8 Project	⁽³⁾ September 2026	73.81	141,481	37,053	37,053	-	-	-	-
Kamelia Residences Project	November 2026	59.78	99,800	40,139	40,139	-	-	-	-
Tuju Residences Project	September 2027	24.27	305,000	230,983	66,801	164,182	-	-	-
Arte Star Project	February 2030	11.67	436,800	385,846	56,435	177,573	113,768	36,796	1,274
Seduduk D' Kajang Project	April 2028	11.81	264,139	232,956	55,407	162,489	15,060	-	-
Non-residential segment									
EUPE Project	⁽⁴⁾ March 2026	40.47	5,300	3,155	3,155	-	-	-	-
Daiwa Warehouse (Phase 4) Project	⁽⁵⁾ -	50.00	986	493	493	-	-	-	-

11. FINANCIAL INFORMATION (Cont'd)

Projects	Expected completion date	Percentage of completion as at the LPD %	Total contract value RM'000	Total unbilled contract value as at the LPD RM'000	FYE 2026 RM'000	FYE 2027 RM'000	FYE 2028 RM'000	FYE 2029 RM'000	FYE 2030 RM'000
Goldcoin Starhill Project	July 2027	10.64	12,166	10,872	4,671	6,201	-	-	-
			1,416,302	999,598	322,255	510,445	128,828	36,796	1,274

Notes:

- (1) The construction works for this project have been completed and are pending issuance of CPC and final billing. Our Group has submitted an application for EOT up to October 2026. As at the LPD, the EOT application is pending approval by the customer.
- (2) In August 2026, our Group has submitted an application for an EOT of up to November 2026. As at the LPD, the EOT application is pending approval by the customer.
- (3) Our Group has submitted an application for an EOT of up to December 2026 and the EOT application is pending approval by the customer.
- (4) Based on the stamped LOA of EUPE Project, it comprises of two phases, where our Group began construction for phase 1 in April 2025. As at the LPD, our Group has yet to receive instruction from EUPE Belfield Sdn Bhd regarding the commencement date for construction for phase 2 of the EUPE Project, due to revision in construction drawings. As such, the expected completion date for phase 2 of the EUPE project cannot be determined at this juncture.
- (5) The commencement and/or expected complete date for the Daiwa Warehouse (Phase 4) Project cannot be determined at this juncture, given that the entire project comprises a pre-design phase (which is the service currently undertaken by our Group) as well as a subsequent design and build project to be undertaken by our Group at a later stage, which is contingent upon the customer's completion of site surveys, inspections and other preparatory activities.

The above outstanding order book relates to contract value of projects which are ongoing less revenue recorded up to the LPD. This outstanding order book will be recognised progressively up to FYE 2030 based on the expected progress of each project. For avoidance of doubt, presently, our Group has sufficient resources and capacity to carry out the construction works for the projects as set out in the table. Nevertheless, we will closely monitor our available resources to ensure that project milestones are consistently met and will take necessary expansionary measures, such as employing additional construction workers, should the need arise.

11. FINANCIAL INFORMATION (Cont'd)

None of our Group's contracts in its order book was awarded by related parties. In the event of any delays in the actual progress of the projects due to VOs received from the project owners due to changes in the project requirements that may take place during the construction of the respective projects or any unforeseen circumstances, the recognition of the outstanding order book may extend beyond the abovementioned expected completion dates.

11.7 DIVIDEND POLICY

Our Group presently does not have any formal dividend policy, and the declaration of dividends and other distribution are subject to the discretion of our Board. It is our Board's policy to recommend dividends to allow our shareholders to participate in the profits of our Group. However, our ability to pay dividends or make any other distributions to our shareholders in the future years is subject to various factors such as having profits and excess funds, which are not required to be retained to fund our business.

As we are a holding company, our ability to declare and pay dividends or make other distributions to our shareholders is dependent upon the dividends we receive from our subsidiaries, present and future. The payment of dividends by our subsidiaries is dependent upon various factors, including but not limited to, their distributable profits, financial performance and cash flow requirements for operations and capital expenditures, as well as other factors that their respective boards of directors deem relevant. Save for the negative covenants imposed by our existing Financiers with regards to distribution of dividends and compliance with the solvency requirement under the Act, which is applicable to all Malaysian companies, there are no other legal or financial restrictions on the ability of our existing subsidiary to declare and pay dividends to our Company.

Our Board will consider the following factors (which may not be exhaustive) when recommending dividends for approval by our shareholders or when declaring any interim dividends:

- (a) the level of cash and level of indebtedness;
- (b) required and expected interest expense, cash flows, profits, return on equity and retained earnings;
- (c) our expected results of operations and future level of operations;
- (d) our projected levels of capital expenditure and other investment plans; and
- (e) the prior consent from our lenders, if required.

The payment and amount of any dividends or distributions to our shareholders will be at the discretion of our Board, and will depend on the factors stated above (which may not be exhaustive). There is no assurance as to whether the dividend distribution will occur as intended, the amount of dividend payment or timing of such payment.

Subject to the Act, our Company, in a general meeting, may from time to time approve dividend or other distribution. However, no dividend or distribution shall be declared in excess of the amount recommended by our Board. Further, under the Act, our Company may not declare or pay dividend, or make a distribution out of contributed surplus, if there are reasonable grounds for believing that:

11. FINANCIAL INFORMATION (Cont'd)

- (a) our Company is, or would after the payment be unable to pay its liabilities as they become due; or
- (b) the realisable value of the Company's assets would thereby be less than its liabilities.

During the Financial Periods Under Review and up to the LPD, the dividends declared and paid by our Group and the respective dividend payout ratio are as follows:

	Audited					Unaudited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026	1 May 2026 up to the LPD
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Dividends declared and paid	(1)2,300	-	14,758	-	-	-
PAT	1,134	5,729	16,030	13,985	6,009	-
Dividend payout ratio (%) ⁽²⁾	202.82	-	92.06	-	-	-

Notes:

- (1) Section 131(1) of the Act stipulates that a company may only make a distribution to its shareholders out of profits of the company available if the company is solvent. Following the Re-audit, our Group had recorded PAT of RM1.13 million for FYE 2022 and accumulated losses of RM3.70 million as at 31 December 2022. Nevertheless, for clarity, the dividends declared by our Group in FYE 2022 were based on the audited financial statements for FYE 2022 prior to the Re-audit, where our Group had retained earnings of RM19.11 million. The adjustments made following the Re-audit were mainly attributed to the provision of LD made for Iringan Bayu Phase 8A Project and Youth City Project, as well as impairment losses on trade receivables. As such, the declaration of dividends in FYE 2022 was not in breach of the Act as the adjustments do not retrospectively affect the validity of the dividends declared prior to the Re-audit.
- (2) Computed based on dividend paid divided by PAT for the Financial Periods Under Review.

The dividends declared and paid for FYE 2022 were funded by internally generated funds while the dividends declared and paid for FYE 2024 were offset against the amount due from directors. We do not intend to declare and pay any dividends from the LPD up to the point of our Listing.

As at the LPD, there are no outstanding dividends declared but remained unpaid. Subsequent to the LPD, no dividend was declared, made or paid by our Group.

11.8 SIGNIFICANT CHANGES

Our Directors are not aware of any significant changes that has occurred, which may have a material effect on the financial position and results of our Group since the date of our most recent interim financial statements for FPE 2026 and up to the LPD.

11. FINANCIAL INFORMATION (Cont'd)**11.9 CAPITALISATION AND INDEBTEDNESS**

The table below summarises our capitalisation and indebtedness as at 31 July 2026 and after adjusting for the effects of the Public Issue including the utilisation of proceeds.

	Unaudited	I	II
	As at 31 July	After our IPO	After I and
	2026	RM'000	utilisation of
	RM'000		proceeds
		RM'000	RM'000
Indebtedness			
Current			
<u>Secured</u>			
Bank borrowings	516	516	516
Banker's acceptance	57,440	57,440	57,440
Bank overdraft	37,730	37,730	30,173
Trade financing	20,021	20,021	20,021
Lease liabilities ⁽¹⁾	6,577	6,577	6,577
Non-current			
<u>Secured</u>			
Bank borrowings	5,706	5,706	5,706
Lease liabilities ⁽¹⁾	10,598	10,598	10,598
Total indebtedness	138,588	138,588	131,031
Capitalisation			
Shareholders' equity	32,645	62,045	57,445
Total capitalisation	32,645	62,045	57,445
Total capitalisation and indebtedness	171,233	200,633	188,476
Gearing ratio (times)⁽²⁾	4.25	2.23	2.28

Notes:

(1) Lease liabilities arising from hire purchase arrangements for machinery, equipment and motor vehicles.

(2) Calculated based on total indebtedness divided by total capitalisation.

12. ACCOUNTANTS' REPORT

SLGC BERHAD

[Registration No. 202401015379 (1561229-T)]
(Incorporated in Malaysia)

**ACCOUNTANTS' REPORT
FOR THE FINANCIAL PERIOD/YEARS ENDED
30 APRIL 2026,
31 DECEMBER 2025,
31 DECEMBER 2024,
31 DECEMBER 2023
AND 31 DECEMBER 2022**

12. ACCOUNTANTS' REPORT (Cont'd)

SLGC BERHAD
(Incorporated in Malaysia)

COMBINED FINANCIAL STATEMENTS

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12. ACCOUNTANTS' REPORT (Cont'd)



MORISON LC PLT (LLP0032572-LCA)
Chartered Accountants (AF 002469)
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19 August 2026

The Board of Directors
SLGC Berhad
No. 27, 27-01, 27-02
Jalan Setia Tropika 1/30
Taman Setia Tropika
81200 Johor Bahru
Johor.

Dear Sirs,

REPORTING ACCOUNTANTS' OPINION ON THE COMBINED FINANCIAL STATEMENTS CONTAINED IN THE ACCOUNTANTS' REPORT OF SLGC BERHAD ("SLGC" OR "THE COMPANY")

Opinion

We have audited the accompanying combined financial statements of SLGC BERHAD (the "Company") and its combining entities as disclosed in Note 1.3 to the combined financial statements (collectively known as "SLGC Group" or the "Group"). The combined financial statements comprise the combined statements of financial position as at 30 April 2026, 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022 of the Group and combined statements of profit or loss and other comprehensive income, combined statements of changes in equity and combined statements of cash flows of the Group for the financial period ended ("FPE") 30 April 2026 and for the financial years ended ("FYE") 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022 and a summary of material accounting policies and other explanatory information, as set out in this report.

12. ACCOUNTANTS' REPORT (Cont'd)

This historical combined financial statements of the Group have been prepared for inclusion in the prospectus of the Company in connection with the listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("Listing") ("Prospectus"). This report is given for the purposes of complying with the ACE Market Listing Requirements of Bursa Malaysia Securities Berhad ("Listing Requirements"), the Prospectus Guidelines issued by the Securities Commission Malaysia and for no other purpose.

In our opinion, the accompanying combined financial statements of the Group give a true and fair view of the financial position of the Group as at 30 April 2026, 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022 and of their financial performance and cash flows for each of the financial period and years then ended in accordance with the Malaysian Financial Reporting Standards ("MFRS") and International Financial Reporting Standards ("IFRS").

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

12. ACCOUNTANTS' REPORT (Cont'd)**Responsibilities of the Directors for the Combined Financial Statements**

The Directors of the Company are responsible for the preparation of the combined financial statements that give a true and fair view in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors are also responsible for such internal control as the Directors' determine is necessary to enable the preparation of combined financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the combined financial statements of the Group, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements

Our objectives are to obtain reasonable assurance about whether the combined financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue an accountants' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these combined financial statements of the Group.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the combined financial statements of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

12. ACCOUNTANTS' REPORT (Cont'd)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our accountants' report to the related disclosures in the combined financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our accountants' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the combined financial statements of the Group, including the disclosures, and whether the combined financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

12. ACCOUNTANTS' REPORT (Cont'd)

Restriction on Distribution and Use

This historical combined financial statements of the Group have been prepared solely to the Company to comply with the *Prospectus Guideline* issued by the Securities Commission Malaysia and for inclusion in the prospectus of SLGC in connection with the listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("Listing") ("Prospectus"). This report is given for the purposes of complying with the Listing Requirements, the *Prospectus Guidelines* issued by the Securities Commission Malaysia and for no other purpose and should not be relied on for any other purpose. We do not assume responsibility to any other person for the content of this report.



MORISON LC PLT (AF 002469)
202206000028 (LLP0032572-LCA)
Chartered Accountants



LIM WAN YINN
03262/04/2027 J
Chartered Accountant

Petaling Jaya
19 August 2026

12. ACCOUNTANTS' REPORT (Cont'd)

SLGC BERHAD
(Incorporated in Malaysia)

**COMBINED STATEMENTS OF PROFIT OR LOSS
AND OTHER COMPREHENSIVE INCOME**

		Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
	Note						
Revenue	5	149,224,014	91,488,399	324,004,029	229,641,634	213,931,065	220,734,799
Cost of sales		<u>(128,551,481)</u>	<u>(75,999,013)</u>	<u>(273,216,829)</u>	<u>(189,428,788)</u>	<u>(188,672,599)</u>	<u>(200,438,119)</u>
Gross profit		20,672,533	15,489,386	50,787,200	40,212,846	25,258,466	20,296,680
Other operating income		1,972,009	657,743	3,152,010	7,453,627	5,298,357	2,087,086
Administrative expenses		<u>(12,717,750)</u>	<u>(9,600,310)</u>	<u>(32,798,664)</u>	<u>(24,957,337)</u>	<u>(19,244,900)</u>	<u>(17,185,417)</u>
Net gain/(loss) on impairment of financial instruments		<u>174,982</u>	<u>-</u>	<u>(744,276)</u>	<u>1,273,177</u>	<u>(1,956,273)</u>	<u>(247,230)</u>
Profit from operations		10,101,774	6,546,819	20,396,270	23,982,313	9,355,650	4,951,119
Finance costs	6	<u>(2,122,496)</u>	<u>(1,072,572)</u>	<u>(4,941,637)</u>	<u>(4,081,933)</u>	<u>(2,854,531)</u>	<u>(2,554,947)</u>
Profit before tax	7	7,979,278	5,474,247	15,454,633	19,900,380	6,501,119	2,396,172
Income tax expense	8	<u>(1,970,255)</u>	<u>(1,350,208)</u>	<u>(1,469,216)</u>	<u>(3,870,260)</u>	<u>(772,353)</u>	<u>(1,261,709)</u>
Profit for the financial period/year, representing total comprehensive income for the financial period/year		<u>6,009,023</u>	<u>4,124,039</u>	<u>13,985,417</u>	<u>16,030,120</u>	<u>5,728,766</u>	<u>1,134,463</u>

12. ACCOUNTANTS' REPORT (Cont'd)

		Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
	Note						
Total comprehensive income attributable to:							
Owners of the Company		6,009,023	4,124,039	13,985,414	16,030,120	5,729,818	1,135,322
Non-controlling interests		-	-	-	-	(1,052)	(859)
		<u>6,009,023</u>	<u>4,124,039</u>	<u>13,985,414</u>	<u>16,030,120</u>	<u>5,728,766</u>	<u>1,134,463</u>
Earnings per share (RM)							
Basic	25	<u>0.86</u>	<u>0.82</u>	<u>2.00</u>	<u>3.21</u>	<u>1.15</u>	<u>0.23</u>

The accompanying notes form an integral part of the financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)

SLGC BERHAD
(Incorporated in Malaysia)

COMBINED STATEMENTS OF FINANCIAL POSITION

		Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
	Note					
ASSETS						
Non-Current Assets						
Property, plant and equipment	9	32,850,365	29,749,110	14,518,606	15,058,439	15,281,778
Right-of-use assets	10	-	-	26,973	182,058	168,966
Investment properties	11	7,039,783	6,852,816	5,073,709	6,000,068	3,877,446
Deferred tax assets	12	-	365,772	1,527,406	164,087	63,902
Total Non-Current Assets		39,890,148	36,967,698	21,146,694	21,404,652	19,392,092
Current Assets						
Trade receivables	13	100,798,333	104,159,319	89,669,957	96,526,060	105,662,476
Other receivables, deposits and prepayments	14	16,639,830	13,490,355	8,247,861	6,251,161	8,931,709
Amount due from Directors	15	-	-	-	15,799,718	2,083,634
Contract assets	16	123,049,109	98,656,206	46,948,798	27,267,838	19,575,168
Current tax assets		6,254	6,254	17,250	1,026,948	7,787
Fixed deposits with licensed banks	17	30,989,590	24,307,634	17,617,990	12,697,521	14,216,689
Cash and bank balances		19,103,956	11,860,424	6,988,967	11,541,322	6,775,217
Total Current Assets		290,587,072	252,480,192	169,490,823	171,110,568	157,252,680
Total Assets		330,477,220	289,447,890	190,637,517	192,515,220	176,644,772

12. ACCOUNTANTS' REPORT (Cont'd)

	Note	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
EQUITY AND LIABILITIES						
Equity						
Share capital and invested equity	18	7,000,001	7,000,001	5,000,000	5,000,000	5,000,000
Retained earnings/ (Accumulated losses)	19	23,272,079	17,263,056	3,298,992	2,026,872	(3,702,946)
		30,272,080	24,263,057	8,298,992	7,026,872	1,297,054
Non-controlling interests		-	-	-	-	(859)
Total Equity		<u>30,272,080</u>	<u>24,263,057</u>	<u>8,298,992</u>	<u>7,026,872</u>	<u>1,296,195</u>
Non-Current Liabilities						
Trade payables	20	-	-	7,766,873	-	-
Lease liabilities	21	6,710,332	8,125,181	2,343,442	2,063,135	4,559,638
Deferred tax liabilities	12	261,592	-	-	-	-
Bank borrowings	22	5,427,982	5,709,252	5,401,333	5,808,050	4,915,210
Total Non-Current Liabilities		<u>12,399,906</u>	<u>13,834,433</u>	<u>15,511,648</u>	<u>7,871,185</u>	<u>9,474,848</u>
Current Liabilities						
Trade payables	20	162,185,249	148,507,602	92,030,347	95,729,944	74,080,562
Other payables and accruals	23	32,441,523	25,908,228	21,793,593	16,666,446	17,707,711
Contract liabilities	16	4,546,000	6,926,179	4,805,788	23,772,438	42,341,336
Lease liabilities	21	4,791,010	4,560,968	1,540,702	3,579,262	3,640,070
Bank borrowings	22	82,482,635	64,871,497	44,558,103	37,869,073	28,034,160
Current tax liabilities		1,358,817	575,926	2,098,344	-	69,890
Total Current Liabilities		<u>287,805,234</u>	<u>251,350,400</u>	<u>166,826,877</u>	<u>177,617,163</u>	<u>165,873,729</u>
Total Liabilities		<u>300,205,140</u>	<u>265,184,833</u>	<u>182,338,525</u>	<u>185,488,348</u>	<u>175,348,577</u>
Total Equity and Liabilities		<u>330,477,220</u>	<u>289,447,890</u>	<u>190,637,517</u>	<u>192,515,220</u>	<u>176,644,772</u>

The accompanying notes form an integral part of the financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)**SLGC BERHAD**
(Incorporated in Malaysia)**COMBINED STATEMENTS OF CHANGES IN EQUITY**

	Non-distributable Share capital / Invested equity RM	Distributable Retained earnings/ (Accumulated losses) RM	Total RM	Non- controlling interests RM	Total equity RM
As at 1 January 2022	5,000,000	(2,538,268)	2,461,732	-	2,461,732
Total comprehensive income for the financial year	-	1,135,322	1,135,322	(859)	1,134,463
Transactions with owners					
Dividend paid (Note 24)	-	(2,300,000)	(2,300,000)	-	(2,300,000)
As at 31 December 2022	<u>5,000,000</u>	<u>(3,702,946)</u>	<u>1,297,054</u>	<u>(859)</u>	<u>1,296,195</u>
As at 1 January 2023	5,000,000	(3,702,946)	1,297,054	(859)	1,296,195
Total comprehensive income for the financial year	-	5,729,818	5,729,818	(1,052)	5,728,766
Transactions with owners					
Elimination due to disposal of a subsidiary company	-	-	-	1,911	1,911
As at 31 December 2023	<u>5,000,000</u>	<u>2,026,872</u>	<u>7,026,872</u>	<u>-</u>	<u>7,026,872</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Non-distributable Share capital / Invested equity RM	Distributable Retained earnings/ (Accumulated losses) RM	Total RM	Non- controlling interests RM	Total equity RM
As at 1 January 2024	5,000,000	2,026,872	7,026,872	-	7,026,872
Total comprehensive income for the financial year	-	16,030,120	16,030,120	-	16,030,120
Transactions with owners					
Dividend paid (Note 24)	-	(14,758,000)	(14,758,000)	-	(14,758,000)
As at 31 December 2024	5,000,000	3,298,992	8,298,992	-	8,298,992
As at 1 January 2025	5,000,000	3,298,992	8,298,992	-	8,298,992
Total comprehensive income for the financial year	-	13,985,417	13,985,417	-	13,985,417
Transactions with owners					
Changes in ownership interest in a combining entity	1	(21,353)	(21,352)	-	(21,352)
Issuance of shares (Note 18)	2,000,000	-	2,000,000	-	2,000,000
As at 31 December 2025	7,000,001	17,263,056	24,263,057	-	24,263,057
As at 1 January 2026	7,000,001	17,263,056	24,263,057	-	24,263,057
Total comprehensive income for the financial period	-	6,009,023	6,009,023	-	6,009,023
As at 30 April 2026	7,000,001	23,272,079	30,272,080	-	30,272,080

The accompanying notes form an integral part of the financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)

SLGC BERHAD
(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
CASH FLOWS FROM OPERATING ACTIVITIES					
Profit before tax	7,979,278	15,454,633	19,900,380	6,501,119	2,396,172
Adjustments for:					
Bad debts written off	-	276,867	-	-	-
Depreciation of investment properties	17,232	43,446	43,677	33,025	28,090
Depreciation of property, plant and equipment	1,631,644	3,294,566	2,620,588	2,613,235	2,938,663
Depreciation of right- of-use assets	-	9,782	64,013	223,897	246,846
Gain on disposal of subsidiary company	-	-	-	(7,543)	-
Gain on modification of lease contracts	-	(609)	(2,378)	(856)	-
Finance costs	2,122,496	4,941,637	4,081,933	2,854,531	2,554,947
Interest income	(194,188)	(353,932)	(388,715)	(267,639)	(353,149)
Net gain on disposal of property, plant and equipment	-	(24,267)	(5,113)	-	(2,863)
Net loss on disposal of investment properties	-	-	123,196	-	-
Net movement of impairment losses on trade receivables	(174,982)	744,276	(1,273,177)	1,956,273	247,230
Reversal of interest overcharged	-	-	1,323,738	-	-
Operating profit before working capital changes	11,381,480	24,386,399	26,488,142	13,906,042	8,055,936

12. ACCOUNTANTS' REPORT (Cont'd)

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
<u>Changes in working capital:</u>					
Decrease/(Increase) in:					
Trade receivables	3,535,968	(16,233,059)	(19,110,940)	5,367,336	(718,709)
Other receivables	(3,149,475)	(4,879,093)	1,367,679	2,680,548	(2,518,750)
Contract assets	(24,392,903)	(51,707,408)	(19,680,960)	(7,692,670)	(7,621,250)
Increase/(Decrease) in:					
Trade payables	13,677,647	48,710,383	4,067,276	21,649,382	(37,552,942)
Other payables and accruals	6,533,295	4,114,635	5,108,907	(1,026,285)	3,724,674
Contract liabilities	(2,380,179)	2,120,391	7,709,318	(18,568,898)	56,121,045
Cash generated from operations	5,205,833	6,512,248	5,949,422	16,315,455	19,490,004
Interest received	731	6,585	6,444	36,896	353,132
Interest paid	(1,831,765)	(4,395,531)	(3,459,899)	(2,166,970)	(1,727,673)
Tax paid	(560,000)	(1,833,894)	(2,125,536)	(1,961,590)	(2,017,760)
Tax refunded	-	14,890	-	-	-
Net cash from operating activities	2,814,799	304,298	370,431	12,223,791	16,097,703
CASH FLOWS (USED IN)/FROM INVESTING ACTIVITIES					
Acquisition of property, plant and equipment	(4,732,899)	(7,028,978)	(59,482)	(1,106,415)	(368,404)
Acquisition of investment properties	(204,199)	(440,000)	-	(342,840)	-
Dividend paid	-	-	-	-	(2,300,000)
Net changes in a combining entity	-	(21,352)	-	-	-
Net cash outflow from disposal of subsidiary company	-	-	-	(5,526)	-
Proceeds from disposal of property, plant and equipment	-	229,244	502,561	-	234,927
Net cash (used in)/from investing activities	(4,937,098)	(7,261,086)	443,079	(1,454,781)	(2,433,477)

12. ACCOUNTANTS' REPORT (Cont'd)

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
CASH FLOWS (USED IN)/FROM FINANCING ACTIVITIES					
(Advances to)/Repayment from Directors	-	-	(2,304,422)	(13,716,084)	1,014,010
Interest paid	(290,731)	(546,106)	(622,034)	(687,561)	(827,274)
Issuance of shares	-	2,000,001	-	-	-
Placement of fixed deposits with licensed banks	(6,488,499)	(6,342,297)	(4,538,198)	(2,250,089)	(4,046,032)
Repayment of lease liabilities	(1,184,807)	(2,479,966)	(4,183,523)	(4,076,925)	(3,214,029)
Net drawdown of bank borrowings	<u>5,962,012</u>	<u>24,500,238</u>	<u>6,994,401</u>	<u>10,414,258</u>	<u>2,456,976</u>
Net cash (used in)/from financing activities	<u>(2,002,025)</u>	<u>17,131,870</u>	<u>(4,653,776)</u>	<u>(10,316,401)</u>	<u>(4,616,349)</u>
NET (DECREASE)/ INCREASE IN CASH AND CASH EQUIVALENTS	(4,124,324)	10,175,082	(3,840,266)	452,609	9,047,877
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL PERIOD/YEAR	<u>6,958,390</u>	<u>(3,216,692)</u>	<u>623,574</u>	<u>170,965</u>	<u>(8,876,912)</u>
CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL PERIOD/YEAR	<u>2,834,066</u>	<u>6,958,390</u>	<u>(3,216,692)</u>	<u>623,574</u>	<u>170,965</u>

12. ACCOUNTANTS' REPORT (Cont'd)

The details of cash and cash equivalents are as follows:

	Note	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Cash and bank balances		19,103,956	11,860,424	6,988,967	11,541,322	6,775,217
Fixed deposits with licensed banks	17	30,989,590	24,307,634	17,617,990	12,697,521	14,216,689
Bank overdraft	22	<u>(16,269,890)</u>	<u>(4,902,034)</u>	<u>(10,205,659)</u>	<u>(10,917,748)</u>	<u>(10,604,252)</u>
		33,823,656	31,266,024	14,401,298	13,321,095	10,387,654
Less: Fixed deposits pledged with licensed banks	17	<u>(30,989,590)</u>	<u>(24,307,634)</u>	<u>(17,617,990)</u>	<u>(12,697,521)</u>	<u>(10,216,689)</u>
		<u>2,834,066</u>	<u>6,958,390</u>	<u>(3,216,692)</u>	<u>623,574</u>	<u>170,965</u>

The accompanying notes form an integral part of the financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)

SLGC BERHAD
(Incorporated in Malaysia)

NOTES TO THE COMBINED FINANCIAL STATEMENTS

1. GENERAL INFORMATION

1.1 Introduction

This report has been prepared solely to comply with the *Prospectus Guidelines* issued by the Securities Commission Malaysia and for the inclusion in the Prospectus of SLGC Berhad ("SLGC" or "the Company") in connection with the listing of and quotation for the entire enlarged issued share capital of SLGC Berhad on the ACE Market of Bursa Malaysia Securities Berhad ("Bursa Securities") and should not be relied on for any other purpose.

1.2 Background

SLGC Berhad was incorporated in Malaysia under the Companies Act, 2016 on 19 April 2024 as a private limited liability company. The Company is domiciled in Malaysia. On 25 June 2025, SLGC Sdn Bhd was converted into a public limited company and assumed its present name, SLGC Berhad.

The registered office of the Company is located at B-21-1, Level 21, Tower B, Northpoint Mid Valley, No.1 Medan Syed Putra Utara, 59200 Kuala Lumpur W.P. Kuala Lumpur, Malaysia.

The principal place of business of the Company is located at B-21-1, Level 21, Tower B, Northpoint Mid Valley, No.1 Medan Syed Putra Utara, 59200 Kuala Lumpur W.P. Kuala Lumpur, Malaysia.

12. ACCOUNTANTS' REPORT (Cont'd)

1.3 Principal activities

The principal activity of the Company is investment holding.

Details of the combining entities within SLGC Group are as follows:

Name of Company	Date of incorporation	Principal place of business	Principal activities
Combining entities			
SLG Construction Sdn. Bhd. ("SLG Construction")	19 January 2009	Malaysia	Provision of building construction services including external and ancillary works
Subsidiaries of SLG			
Allpace Engineering Sdn. Bhd. ("Allpace Engineering")	26 September 2018	Malaysia	Provision of building construction services including external and ancillary works
Alltech Capital Sdn. Bhd. ("AC")	11 April 2022	Malaysia	Investment holding and general trading

There have been no significant changes in the nature of the principal activities of SLGC and its combining entities during the financial years and period under review.

1.4 Share capital

The details of the changes in the issued share capital of SLGC since its incorporation are as follows:

Date of allotment	No. of shares allotted	Cumulative no. of shares allotted	Consideration	Cumulative issued share capital (RM)
19 April 2024	1	1	Cash	1

12. ACCOUNTANTS' REPORT (Cont'd)

1.4 Share capital (cont'd)

Name of Company	Issued share capital (RM)					Assumed effective equity interest (%)				
	30.4.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022	30.4.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
Combining entities										
SLG Construction Sdn. Bhd. ("SLG Construction")	7,000,000	7,000,000	5,000,000	5,000,000	5,000,000	100	100	100	100	100
Subsidiaries of SLG Construction										
Allpace Engineering Sdn. Bhd. ("Allpace Engineering")	100	100	100	100	100	100	100	100	100	100
Alltech Capital Sdn. Bhd. ("AC")	-	-	-	-	80	-	-	-	-	80

During the financial year ended 31 December 2023, SLG Construction entered into a shares sale and purchase agreement to dispose 80% equity interest in Alltech Capital Sdn. Bhd. The disposal was completed on 22 February 2023.

On 20 June 2025, SLG Construction increased its issued and paid-up share capital by way of the issuance of 2,000,000 new ordinary shares of RM1 each for a total cash consideration of RM2,000,000.

12. ACCOUNTANTS' REPORT (Cont'd)**1.5 Relevant financial years**

The combined financial statements of the Group reflect the financial information of SLGC, SLG Construction, Allpace Engineering and AC.

The combined financial statements of the Group for the FPE 30 April 2026, FYE 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022 are the combination or aggregation of the separate financial statements of the subsidiaries/combining entities.

The relevant financial years of the audited financial statements presented for the purpose of these combined financial statements and the statutory auditors of the entities within the Group are as follows:

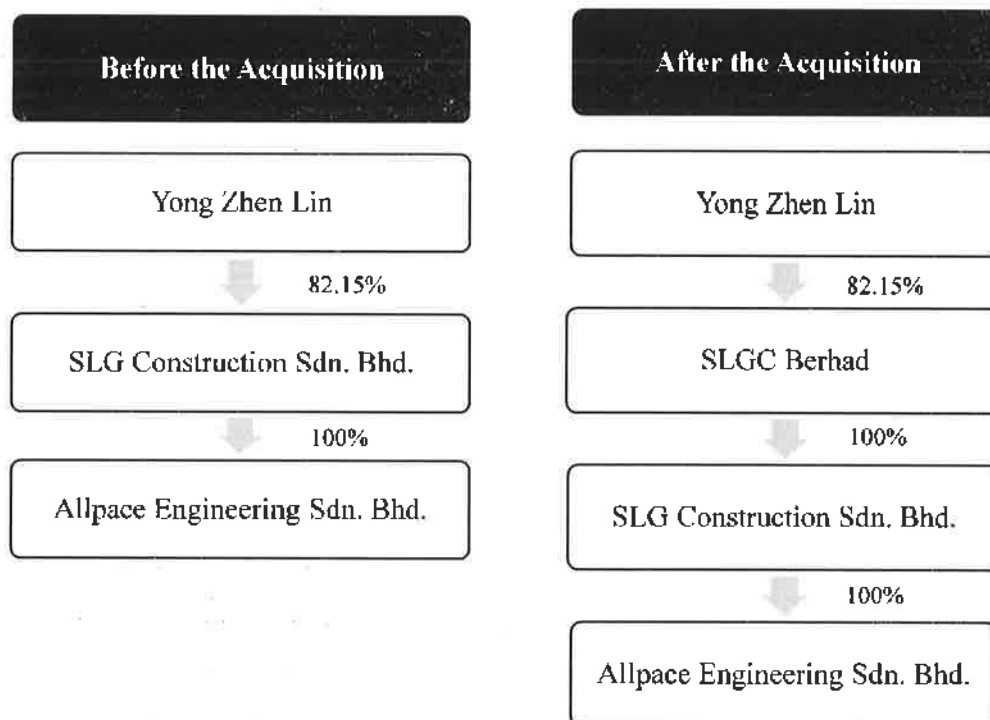
Company name	Relevant financial years	Accounting standards applied	Auditors
SLGC	FPE 30 April 2026	MFRS	Morison LC PLT ("Morison")
SLG Construction	FYE 31 December 2022	MFRS	Ecovis Malaysia PLT ("Ecovis")
	FYE 31 December 2023	MFRS	Morison
	FYE 31 December 2024	MFRS	Morison
	FYE 31 December 2025	MFRS	Morison
	FPE 30 April 2026	MFRS	Morison
Allpace Engineering	FYE 31 December 2022	MFRS	Ecovis
	FYE 31 December 2023	MFRS	Morison
	FYE 31 December 2024	MFRS	Morison
	FYE 31 December 2025	MFRS	Morison
	FPE 30 April 2026	MFRS	Morison
AC	FYE 31 December 2022	MFRS	Ecovis
	FYE 31 December 2023	MFRS	Ecovis

The audited financial statements of entities combined within the Group for the relevant financial years reported above were not subject to any qualification or modification.

12. ACCOUNTANTS' REPORT (Cont'd)**1.6 Acquisition of SLG Construction**

On 26 June 2025, the Company entered into a conditional share sale agreement with the shareholders of SLG Construction for the acquisition of the entire equity interest for a total purchase consideration of RM10,298,900, to be satisfied via the issuance of 454,999,999 new ordinary shares of the Company at an issue price of RM0.02263 per share ("Acquisition"). These purchase consideration of RM10,298,900 was determined on a willing-buyer willing-seller basis and after taking into account the audited net assets of SLG Construction as at 31 December 2024 of RM8,298,992 and the issuance of share capital of RM2,000,000 in SLG Construction on 20 June 2025. The Acquisition is conditional upon, the approval to be obtained from Bursa Securities for the Listing which was obtained on 23 April 2026. The Acquisition is completed on 4 June 2026 and subsequently SLG Construction becomes a wholly-owned subsidiary of the Company.

The group structure before and after the Acquisition are as follows:



12. ACCOUNTANTS' REPORT (Cont'd)**2. BASIS OF PREPARATION****Statement of compliance**

For the purpose of inclusion in the accountant's report of SLGC in connection with the listing of and quotation for the entire enlarged issued share capital on the ACE Market of Bursa Malaysia Securities Berhad, the combined financial statements of the Group for the FPE 30 April 2026 and FYE 31 December 2025, 2024, 2023 and 2022 have been prepared based on the separate financial statements of the Company and its combining entities as disclosed in Note 1.4 to this report.

The combined financial statements of the Group were prepared in a manner similar to the merger method, as if the entities within the Group were operating as a single economic enterprise from the beginning of the earliest comparative period covered by the relevant period or the dates of incorporation of entities within the Group, if later. Such manner of presentation reflects the economic substance of the combining companies, which were under common control throughout the relevant period.

Entities under common control are entities which are ultimately controlled by the same parties and that control is not transitory. Control exists when the same parties have, as a result of contractual agreements, ultimate collective power to govern the financial and operating policies of each of the combining entities so as to obtain benefits from their activities, and that ultimate collective power is not transitory. The financial statements of common controlled entities are included in the combined financial statements from the day that control commences until the date that control ceases. On 19 June 2025, a major shareholder cum director of SLG Construction, Yong Zhen Lin has been appointed as the director of SLGC in which subsequently common control exists between SLG Construction and SLGC. The common control of the Group has been established upon the appointment of Yong Zhen Lin as director of SLGC on 19 June 2025.

The identifiable assets and liabilities of all commonly controlled entities are accounted for at their historical costs. The accounting policies of common controlled entities have been changed where necessary to align them with the policies adopted by the Group.

New MFRSs and amendments to MFRSs in issue but not yet effective

The combined financial statements of SLGC Berhad and its combining entities ("SLGC Group") for the financial period ended 30 April 2026, financial years ended 31 December 2022, 2023, 2024 and 2025 have been prepared in accordance with Malaysian Financial Reporting Standards ("MFRSs") and International Financial Reporting Standards ("IFRSs").

12. ACCOUNTANTS' REPORT (Cont'd)

The Group has not applied the following new and amendments to MFRSs that have been issued by the MASB but are not yet effective for the Group:

MFRS 18	Presentation and Disclosure in Financial Statements ¹
MFRS 19	Subsidiaries without Public Accountability: Disclosures ¹
Amendments to MFRS 19	Subsidiaries without Public Accountability: Disclosures ¹
Amendments to MFRS 121	Translation to a Hyperinflationary Presentation Currency ¹
MFRS 20	Regulatory Assets and Regulatory Liabilities ²
Amendments to MFRS 128	Amendments to the Fair Value Option for Investments in Associates and Joint Ventures ³
Amendments to MFRS 10 and 128	Sale or Contribution of Assets between an Investor and its Associates or Joint Venture ⁴

¹ Effective for annual periods beginning on or after 1 January 2027.

² Effective for annual periods beginning on or after 1 January 2029.

³ Applicable when an entity first applies MFRS 18.

⁴ Deferred to a date to be determined and announced by MASB.

The Directors anticipate that the abovementioned new MFRSs and amendments to MFRSs will be adopted in the annual financial statements of the Group when they become effective, if applicable. The adoption of these new MFRSs and amendments to MFRSs may not have an impact on the financial statements of the Group in the period of initial application except as further discussed below:

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 *Presentation and Disclosure in Financial Statements* sets out overall requirements for the presentation and disclosure in the financial statements, and will replace MFRS 101 *Presentation of Financial Statements* upon its adoption. The International Accounting Standards Board ("IASB") did not reconsider all aspects of MFRS 101 when developing MFRS 18, but instead focused on the statement of profit or loss. The IASB retained some paragraphs from MFRS 101 in MFRS 18 and moved some paragraphs from MFRS 101 to MFRS 108 *Basis of Preparation of Financial Statements* and MFRS 7 *Financial Instruments: Disclosures*.

MFRS 18 aims to improve financial reporting by:

- requiring an entity to classify income and expenses including in the statement of profit or loss into five categories, namely operating, investing, financing, income taxes and discontinued operations;
- requiring an entity to present two new defined subtotals in the statement of profit or loss, including "operating profit or loss" and "profit or loss before financing and income taxes";
- requiring an entity to disclose management-defined performance measure; and
- adding new principles for aggregation and disaggregation of items.

12. ACCOUNTANTS' REPORT (Cont'd)

An entity is required to apply MFRS 18 for annual periods beginning on or after 1 January 2027, with earlier application permitted. MFRS 18 requires retrospective application with specific transition provisions.

The adoption of MFRS 18 may have an impact on the financial statements of the Group in the period of initial application. However, it is not practicable to provide a reasonable estimate of the effects from the adoption of MFRS 18 until the Group undertakes a detailed review.

3. MATERIAL ACCOUNTING POLICY INFORMATION**Basis of accounting**

The combined financial statements of the Group have been prepared under the historical cost convention, unless otherwise indicated in the material accounting policy information below.

Functional and presentation currency

These combined financial statements of the Group are presented in Ringgit Malaysia ("RM") which is functional and presentation currency of the combined entities. All financial information is presented in RM and has been rounded to the nearest RM except when otherwise stated.

Business combinations

Business combinations are accounted for using the acquisition method of accounting from the acquisition date, which is the date on which control is transferred to the Group.

For each business combination, the Group elects whether it measures the non-controlling interests in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Revenue recognition and other income**(i) Contract revenue**

The Group recognises revenue from construction contracts with customers. Revenue is derived from the construction works of residential and non-residential buildings in Malaysia.

The Group constructs infrastructure work under long-term contracts with customers. Construction service constructs comprise multiple deliverables that require significant integration service and therefore accounted as a single performance obligation. The transaction price is adjusted for the effects of variable consideration (e.g. discounts, rebates, incentives or penalties). The revenue from construction is measured based on the transaction prices net of expected liquidated damages ("LD") payment. LD is determined based on the expected value method.

12. ACCOUNTANTS' REPORT (Cont'd)

Under the terms of the contracts, the Group has an enforceable right to payment for performance completed to date and that the customer controls the assets during the course of construction by the Group and that the construction services performed does not create an asset with an alternative use to the Group. Therefore, revenue from construction contracts is recognised over time using input method, i.e. based on the proportion of contract costs incurred for work performed to date relative to the budgeted contract costs. The Group considers this method as an appropriate measure of the progress of completion towards complete satisfaction of the performance obligations.

The Group becomes entitled to recognise and invoice progressive billings for construction works performed to date, based on the value of work certified by independent consultants or architects. These progressive claims are raised in accordance with the terms of the construction contract and reflect the stage of completion of the respective projects.

(ii) Interest income

Interest income is recognised as it accrues using the effective interest method in profit or loss.

(iii) Rental income

Rental income is recognised in profit or loss on a straight-line basis over the term of the lease.

Property, plant and equipment

Items of property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of the equipment.

When significant parts of an item of property, plant and equipment have different useful lives they are accounted for as separate items (major components) of property, plant and equipment.

Freehold land is not depreciated. Depreciation of property, plant and equipment is computed based on a straight-line method to allocate the cost of asset, to their residual value over their estimated useful life, summarised as follow:

Freehold buildings	1%
Plant and machinery	20%
Furniture and equipment	10%-20%
Motor vehicles	10%
Renovation	10%

12. ACCOUNTANTS' REPORT (Cont'd)**Leases****(i) As a lessee**

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the Group uses its incremental borrowing rate.

The right-of-use ("ROU") asset under cost model is depreciated using the straight-line method from the commencement date to the earliest of the end of useful life of the ROU asset or the end of the lease term. The estimated useful life of the ROU asset is determined as follows:

Premises	2 years
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The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases of low value assets. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(ii) As a lessor

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfer substantially all of the risk and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease.

If an arrangement contains lease and non-lease components, the Group applies MFRS 15 to allocate the consideration in the contract based on the stand-alone selling prices.

When the Group is an intermediate lessor, it accounts for its interest in the head lease and the sublease separately. It assesses the lease classification of a sublease with reference to the ROU asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sublease as an operating lease.

The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of "revenue".

The Group recognises finance income over the lease term, based on a pattern reflecting a constant periodic rate of return on the Group's net investment in the lease. The Group aims to allocate finance income over the lease term on a systematic and rational basis. The Group applies the lease payments relating to the period against the gross investment in the lease to reduce both the principal and the unearned finance income. The net investment in the lease is subject to impairment requirements in MFRS 9 *Financial Instruments*.

12. ACCOUNTANTS' REPORT (Cont'd)**Investment properties**

Investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses.

Freehold land is not depreciated. Depreciation of buildings are computed on the straight-line basis over the estimated useful lives of the assets, at the following annual rates:

Freehold building	2%
Leasehold buildings	2%

Financial instruments

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions for the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at fair value through profit or loss ("FVTPL"), transaction cost that are directly attributable to its acquisition or issuance. A trade receivable without a significant financing component is initially measured at the transaction price.

An embedded derivatives is recognised separately from the host contract where the host contract is not a financial asset, and accounted for separately if, and only if, the derivatives is not closely related to the economic characteristic and risk of the host contract and the host contract is not measured at fair value through profit or loss. The host contract, in the event embedded derivative is recognised separately, is accounted for in accordance with the policy applicable to the nature of the host contract.

Financial assets

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

All recognised financial assets are measured subsequently in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

12. ACCOUNTANTS' REPORT (Cont'd)*Classification of financial assets*

Financial assets that meet the following conditions are measured subsequently at amortised cost:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets that meet the following conditions are measured subsequently at fair value through other comprehensive income ("FVTOCI"):

- the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

By default, all other financial assets are measured subsequently at FVTPL.

(i) Amortised cost and effective interest method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period.

The amortised cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance. The gross carrying amount of a financial asset is the amortised cost of a financial asset before adjusting for any loss allowance.

Interest income is recognised using the effective interest method for debt instruments measured subsequently at amortised cost and at FVTOCI. For financial assets other than purchased or originated credit-impaired financial assets, interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit-impaired (see below). For financial assets that have subsequently become credit-impaired, interest income is recognised by applying the effective interest rate to the amortised cost of the financial asset. If, in subsequent reporting periods, the credit risk on the credit-impaired financial instrument improves so that the financial asset is no longer credit-impaired, interest income is recognised by applying the effective interest rate to the gross carrying amount of the financial asset.

For purchased or originated credit-impaired financial assets, the Group recognises interest income by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset from initial recognition. The calculation does not revert to the gross basis even if the credit risk of the financial asset subsequently improves so that the financial asset is no longer credit-impaired.

12. ACCOUNTANTS' REPORT (Cont'd)

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any fair value gains or losses recognised in profit or loss to the extent they are not part of a designated hedging relationship. The net gain or loss recognised in profit or loss includes any dividend or interest earned on the financial asset and is included in the "other operating income" or "other operating expenses" line item in profit or loss.

Financial liabilities

All financial liabilities are measured subsequently at amortised cost using the effective interest method.

Financial liabilities measured subsequently at amortised cost

Financial liabilities that are not (i) contingent consideration of an acquirer in a business combination, (ii) held-for-trading, or (iii) designated at FVTPL, are measured subsequently at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortised cost of a financial liability.

Impairment of financial assets

The Group recognises a loss allowance for expected credit losses ("ECL") on trade and other receivables, contract assets, fixed deposits with licensed banks as well as cash and bank balances. The amount of ECL is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

The Group recognises lifetime ECL for trade receivables and contract assets. The Group considers past loss experience, timing of billing and observable data such as current changes and future forecasts in economic conditions to estimate the amount of expected impairment loss. The methodology and assumptions including any forecasts of future economic conditions are reviewed regularly.

For all other financial instruments, the Group recognises lifetime ECL when there has been a significant increase in credit risk since initial recognition. However, if the credit risk on the financial instrument has not increased significantly since initial recognition, the Group measures the loss allowance for that financial instrument at an amount equal to 12-month ECL.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

Reversal of impairment loss to profit or loss, if any, is restricted to not exceeding what the amortised cost would have been had the impairment not been recognised previously.

12. ACCOUNTANTS' REPORT (Cont'd)*Significant increase in credit risk*

In assessing whether the credit risk on a financial asset has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument at the reporting date with the risk of a default occurring on the financial instrument at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information such as financial evaluation of the creditworthiness of the debtors, ageing of receivables, defaults and past due amounts, past experience with the debtors, current conditions and reasonable forecast of future economic conditions.

The Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 180 days past due, unless the Group has reasonable and supportable information that demonstrates otherwise.

Probability of default

The Group considers the information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Group, in full, as constituting an event of default for internal credit risk management purposes as historical experience indicates that financial assets are generally not recoverable.

The Group considers that default has occurred when a financial asset is more than 365 days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Write-off policy

The gross carrying amount of a financial asset is written off (either partially or full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery amounts due.

Other assets

The carrying amounts of the other assets (except for contract assets measured at fair value are reviewed at the end of each reporting period to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill, and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each period at the same time.

12. ACCOUNTANTS' REPORT (Cont'd)

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units. Subject to an operating segment ceiling test, for the purpose of goodwill impairment testing, cash-generating units to which goodwill has been allocated are aggregated so that the level at which impairment testing is performed reflects the lowest level at which goodwill is monitored for internal reporting purposes. The goodwill acquired in a business combination, for the purposes of impairment testing, is allocated to a cash-generating unit or a group of cash-generating units that are expected to benefit from the synergies of the combination.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its related cash-generating unit exceeds its estimated recoverable amount.

Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the cash-generating unit (group of cash-generating units) and then to reduce the carrying amounts of the other assets in the cash-generating unit (groups of cash-generating unit) on a pro rata basis.

Statements of cash flows

The Group adopts the indirect method in the preparation of the statements of cash flows. Cash and cash equivalents comprise cash in hand, cash at bank and fixed deposits that with licensed banks are readily convertible to cash with insignificant risk of changes in fair value with original maturities of three months or less.

For purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged fixed deposits and bank overdraft, if any.

Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed.

12. ACCOUNTANTS' REPORT (Cont'd)**4. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY****(a) Critical judgements in applying the Group's accounting policies**

In the process of applying the Group's accounting policies, which are described in Note 3 above, the Directors are of the opinion that there are no instances of application of judgements that are expected to have a significant effect on the amounts recognised in the combined financial statements.

(b) Key sources of estimation uncertainty

The Directors believe that there are no key assumptions made concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next reporting period, except for:

Revenue recognition from construction contracts

The Group recognises revenue from construction contracts based on input method. The progress of completion is determined based on the proportion that contract costs incurred for work performed to date relative to the estimated total contract costs. The Group estimates the potential financial impact of liquidated damages ("LD") resulting from project delays or late issuance of the Certificate of Practical Completion (CPC) using expected value method. LD is recognised as a reduction to the transaction price, consistent with the terms of the contract and the nature of the performance obligations. This approach ensures that revenue is measured at the amount the Group expects to be entitled to in exchange for satisfying its obligations.

Significant judgement is required in recognising the revenue by reference to the progress towards satisfaction of performance obligations, the extent of the contract costs incurred and the estimated total contract costs. In making these judgements, the Group relies on past experience and continuous monitoring of the estimated total contract costs.

The carrying amount of contract assets/liabilities arising from performance under construction contracts at the reporting date are disclosed in Note 5.

Useful lives of property, plant and equipment, right-of-use ("ROU") assets and investment properties

The Group regularly reviews the estimated useful lives of property, plant and equipment, ROU assets and investment properties based on factors such as business plan and strategies, expected level of usage and future technological developments. Future results of operations could be materially affected by changes in these estimates brought about by changes in the factors mentioned above. A reduction in the estimated useful lives of property, plant and equipment, ROU assets and investment properties would increase the recorded depreciation and decrease the value of property, plant and equipment, ROU assets and investment properties.

The carrying amount of the property, plant and equipment, ROU assets and investment properties are disclosed in Notes 9, 10 and 11.

12. ACCOUNTANTS' REPORT (Cont'd)Provision for ECLs of trade and other receivables and contract assets

The Group considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments and project in calculating ECLs for trade and other receivables and contract assets. The amount and timing of future cash flows are then estimated based on historical credit loss experience for assets with similar credit risk characteristics and adjusted with forward-looking information such as forecast economic conditions. The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

The information about the ECLs on the Group's contract assets and trade and other receivables is disclosed in Notes 13, 14 and 16 respectively.

Provision for defect liabilities

The Group recognises provision for defect liabilities for future work expected to be carried out subsequent to the project's completion as part of their defect liability obligations. In making the judgement, the Group evaluates based on past experience and by relying on the work of specialists.

12. ACCOUNTANTS' REPORT (Cont'd)**5. REVENUE**

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Revenue from contracts with customers						
Construction contract	<u>149,224,014</u>	<u>91,488,399</u>	<u>324,004,029</u>	<u>229,641,634</u>	<u>213,931,065</u>	<u>220,734,799</u>
Timing of revenue recognition						
Overtime	<u>149,224,014</u>	<u>91,488,399</u>	<u>324,004,029</u>	<u>229,641,634</u>	<u>213,931,065</u>	<u>220,734,799</u>

Revenue from providing construction services is recognised over time as and when the services are performed using the cost incurred method. Credit terms of trade receivables range from 30 to 90 days (31.12.2025: 30 to 90 days; 31.12.2024: 30 to 90 days; 31.12.2023: 30 to 90 days; 31.12.2022: 30 to 90 days). Defects liability period of 12 to 30 months is given to customers. There were not subject to obligation for return or refunds.

6. FINANCE COSTS

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Interest expenses on:						
Bank guarantee	228,049	35,973	352,654	663,870	191,593	106,959
Bank overdraft	682,142	367,482	1,364,453	743,657	267,833	254,115
Lease liabilities	202,582	62,355	270,827	299,380	395,940	434,370
Trade financing	806,372	544,405	1,973,582	2,049,737	1,633,466	1,192,404
Term loan	88,149	59,755	275,279	322,654	291,621	382,904
Others	<u>115,202</u>	<u>2,602</u>	<u>704,842</u>	<u>2,635</u>	<u>74,078</u>	<u>184,195</u>
	<u>2,122,496</u>	<u>1,072,572</u>	<u>4,941,637</u>	<u>4,081,933</u>	<u>2,854,531</u>	<u>2,554,947</u>

12. ACCOUNTANTS' REPORT (Cont'd)**7. PROFIT BEFORE TAX**

Profit before tax for the financial period/year is arrived at after charging/(crediting):

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Auditors' remuneration:						
current financial year	50,000	22,500	72,500	65,000	75,000	44,500
overprovision in prior financial year	-	-	-	(500)	(6,000)	(8,500)
Bad debts written off	-	276,867	276,867	-	-	-
Bank interest income	(731)	(1,294)	(6,585)	(6,444)	(36,896)	(21,191)
Depreciation of investment properties	17,232	13,566	43,446	43,677	33,025	28,090
Depreciation of property, plant and equipment	1,631,644	839,763	3,294,566	2,620,588	2,613,235	2,938,663
Depreciation of right-of-use assets	-	-	9,782	64,013	223,897	246,846
Directors' fee	64,000	-	300,000	300,000	300,000	312,000
Directors' other emoluments:						
Short-term benefits of salaries and others	450,159	277,393	1,055,663	1,011,651	870,000	792,000
Defined contribution plans	49,703	46,800	125,400	107,280	107,876	90,720
Employee benefits expenses (exclude Directors' remuneration):						
Short-term benefits of wages, salaries and others	5,158,190	4,227,929	14,484,328	9,669,449	9,047,089	8,322,251
Defined contribution plans	788,326	638,369	1,947,961	1,258,876	1,058,763	878,215
Fixed deposit interest income	(193,457)	(107,256)	(347,347)	(382,271)	(230,743)	(331,958)
Gain on remeasurement of lease contract	-	-	(609)	(2,378)	(856)	-
Gain on disposal of subsidiary company	-	-	-	-	(7,543)	-

12. ACCOUNTANTS' REPORT (Cont'd)

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Net gain on disposal of property, plant and equipment	-	-	(24,267)	(5,113)	-	(2,863)
Net loss on disposal of investment properties	-	-	-	123,196	-	-
Net movement of impairment losses on trade receivables	(174,982)	-	744,276	(1,273,177)	1,956,273	247,230
Realised loss on foreign exchange	-	-	5,111	-	-	-
Reversal of interest/(interest income) on trade receivables	-	-	-	1,323,738	(3,695,213)	(107)
Short-term leases of plant and machinery	11,465,516	7,158,470	19,620,675	14,786,008	7,868,001	10,436,808
Short-term leases of premises	97,189	36,052	196,066	479,566	991,430	1,075,978

12. ACCOUNTANTS' REPORT (Cont'd)
8. INCOME TAX EXPENSE

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Tax expense recognised in profit or loss						
Current income tax						
Current financial period/year	1,342,891	1,350,208	2,718,514	3,702,972	764,601	1,800,000
(Over)/Under provision in prior financial years	-	-	(2,410,932)	1,530,607	107,937	3,144
	<u>1,342,891</u>	<u>1,350,208</u>	<u>307,582</u>	<u>5,233,579</u>	<u>872,538</u>	<u>1,803,144</u>
Deferred tax (Note 12)						
Current financial period/year	822,282	-	1,085,976	(724,081)	(87,268)	(541,435)
(Over)/Under provision in prior financial years	(194,918)	-	75,658	(639,238)	(12,917)	-
	<u>627,364</u>	<u>-</u>	<u>1,161,634</u>	<u>(1,363,319)</u>	<u>(100,185)</u>	<u>(541,435)</u>
	<u>1,970,255</u>	<u>1,350,208</u>	<u>1,469,216</u>	<u>3,870,260</u>	<u>772,353</u>	<u>1,261,709</u>

12. ACCOUNTANTS' REPORT (Cont'd)

A reconciliation of current income tax expense applicable to profit before tax at the applicable statutory income tax rate to income tax expense at the effective income tax rate of the Group is as follows:

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Profit before tax	<u>7,979,278</u>	<u>5,474,247</u>	<u>15,454,633</u>	<u>19,900,380</u>	<u>6,501,119</u>	<u>2,396,172</u>
Taxation at statutory rate of 24% (2025: 24%; 2024: 24%; 2023: 24%; 2022: 24%)	1,915,026	1,313,819	3,709,112	4,776,091	1,560,269	575,081
Non-deductible expenses	247,020	36,389	621,775	396,057	21,675	768,745
Non-taxable income	-	-	(528,317)	(2,217,380)	(904,611)	(87,017)
Deferred tax assets not recognised during the financial period/year	3,127	-	1,920	24,123	-	1,756
Underprovision of taxation in prior financial years	-	-	(2,410,932)	1,530,607	107,937	3,144
Overprovision of deferred taxation in prior financial years	<u>(194,918)</u>	<u>-</u>	<u>75,658</u>	<u>(639,238)</u>	<u>(12,917)</u>	<u>-</u>
	<u>1,970,255</u>	<u>1,350,208</u>	<u>1,469,216</u>	<u>3,870,260</u>	<u>772,353</u>	<u>1,261,709</u>

12. ACCOUNTANTS' REPORT (Cont'd)

The deferred tax assets not recognised during the financial year are as follows:

	Audited 30.4.2026 RM	Unaudited 30.4.2025 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Unutilised tax losses	<u>122,044</u>	<u>99,970</u>	<u>109,015</u>	<u>99,970</u>	<u>-</u>	<u>-</u>

The unutilised tax losses of the Group are available indefinitely for offsetting against future taxable profits of the Group, subject to same business source and guidelines issued by the tax authority.

The unutilised tax losses are available for offset against future taxable profits of the Group up to following years of assessment as follows:

	Audited 30.4.2026 RM	Unaudited 30.4.2025 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Year of assessment:						
2034	99,970	99,970	99,970	99,970	-	-
2035	9,045	-	9,045	-	-	-
2036	<u>13,029</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

12. ACCOUNTANTS' REPORT (Cont'd)
9. PROPERTY, PLANT AND EQUIPMENT

	Freehold land and buildings RM	Plant and machinery RM	Furniture and equipment RM	Motor vehicles RM	Renovation RM	Total RM
Cost						
As at 1 January 2022	3,522,840	8,421,351	2,169,540	4,085,887	889,118	19,088,736
Additions	880,000	4,458,944	270,904	729,090	5,810	6,344,748
Disposals	-	-	-	(459,333)	-	(459,333)
As at 31 December 2022/1 January 2023	4,402,840	12,880,295	2,440,444	4,355,644	894,928	24,974,151
Additions	1,427,160	576,173	239,475	147,088	-	2,389,896
As at 31 December 2023/1 January 2024	5,830,000	13,456,468	2,679,919	4,502,732	894,928	27,364,047
Additions	-	1,166,894	663,066	748,242	-	2,578,202
Disposals	-	-	-	(860,047)	-	(860,047)
As at 31 December 2024/1 January 2025	5,830,000	14,623,362	3,342,985	4,390,927	894,928	29,082,202
Additions	837,000	15,273,498	1,352,831	1,208,671	58,046	18,730,046
Disposals	-	-	-	(616,518)	-	(616,518)
As at 31 December 2025/1 January 2026	6,667,000	29,896,860	4,695,816	4,983,080	952,974	47,195,730
Additions	-	4,346,060	386,839	-	-	4,732,899
As at 30 April 2026	6,667,000	34,242,920	5,082,655	4,983,080	952,974	51,928,629

12. ACCOUNTANTS' REPORT (Cont'd)

	Freehold land and buildings RM	Plant and machinery RM	Furniture and equipment RM	Motor vehicles RM	Renovation RM	Total RM
Accumulated depreciation						
As at 1 January 2022	47,309	5,170,416	609,002	999,401	126,761	6,952,889
Charge for the financial year	69,090	2,121,759	269,772	416,758	89,374	2,966,753
Disposals	-	-	-	(227,269)	-	(227,269)
As at 31 December 2022/1 January 2023	116,399	7,292,175	878,774	1,188,890	216,135	9,692,373
Charge for the financial year	43,951	1,765,788	276,362	437,641	89,493	2,613,235
As at December 2023/1 January 2024	160,350	9,057,963	1,155,136	1,626,531	305,628	12,305,608
Charge for the financial year	58,300	1,669,072	326,646	477,077	89,493	2,620,588
Disposals	-	-	-	(362,600)	-	(362,600)
As at 31 December 2024/1 January 2025	218,650	10,727,035	1,481,782	1,741,008	395,121	14,563,596
Charge for the financial year	62,485	2,194,926	443,106	502,870	91,179	3,294,566
Disposals	-	-	-	(411,542)	-	(411,542)
As at 31 December 2025/1 January 2026	281,135	12,921,961	1,924,888	1,832,336	486,300	17,446,620
Charge for the financial period	22,223	1,223,633	193,679	160,343	31,766	1,631,644
As at 30 April 2026	303,358	14,145,594	2,118,567	1,992,679	518,066	19,078,264

12. ACCOUNTANTS' REPORT (Cont'd)

	Freehold land and buildings RM	Plant and machinery RM	Furniture and equipment RM	Motor vehicles RM	Renovation RM	Total RM
Net carrying amount						
As at 31 December 2022	4,286,441	5,588,120	1,561,670	3,166,754	678,793	15,281,778
As at 31 December 2023	5,669,650	4,398,505	1,524,783	2,876,201	589,300	15,058,439
As at 31 December 2024	5,611,350	3,896,327	1,861,203	2,649,919	499,807	14,518,606
As at 31 December 2025	6,385,865	16,974,899	2,770,928	3,150,744	466,674	29,749,110
As at 30 April 2026	6,363,642	20,097,326	2,964,088	2,990,401	434,908	32,850,365

- (a) The net carrying amount of property, plant and equipment of the Group pledged for banking facilities granted to the Group as referred to in Note 22 are freehold land and building of RM4,806,842 (31.12.2025: RM4,823,465; 31.12.2024: RM4,032,150; 31.12.2023: RM4,231,971; 31.12.2022: RM3,090,616).
- (b) Included in property, plant and equipment of the Group are motor vehicles with net carrying amount of RM402,771 (31.12.2025: RM424,841; 31.12.2024: RM491,050; 31.12.2023: RM557,259; 31.12.2022: RM623,468) held under the name of a Director of the Company.
- (c) Included in property, plant and equipment of the Group are under lease liabilities with net carrying amount of RM11,673,311 (31.12.2025: RM12,298,149; 31.12.2024: RM3,334,718; 31.12.2023: RM3,229,922; 31.12.2022: RM4,856,675).

12. ACCOUNTANTS' REPORT (Cont'd)

- (d) During the financial period/year, the Group acquired property, plant and equipment as below:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Cash payment	4,732,899	7,028,978	59,482	1,106,415	368,404
Lease liabilities (Note 21)	-	10,936,368	2,518,720	1,106,415	5,976,344
Loan drawn down	-	764,700	-	177,066	-
	<u>4,732,899</u>	<u>18,730,046</u>	<u>2,578,202</u>	<u>2,389,896</u>	<u>6,344,748</u>

10. RIGHT-OF-USE ASSETS

	Premises RM
Cost	
As at 1 January 2022/31 December 2022/1 January 2023	531,402
Addition	249,593
Expiry of lease contract	<u>(113,443)</u>
As at 31 December 2023/1 January 2024	667,552
Disposal	(182,351)
Expiry of lease contract	<u>(418,577)</u>
As at 31 December 2024	66,624
Termination	<u>(66,624)</u>
As at 31 December 2025/30 April 2026	<u>-</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Premises RM
Accumulated depreciation	
As at 1 January 2022	115,590
Charge for the financial year	<u>246,846</u>
As at 31 December 2022/1 January 2023	362,436
Charge for the financial year	223,897
Expiry of lease contract	<u>(100,839)</u>
As at 31 December 2023/1 January 2024	485,494
Charge for the financial year	64,013
Disposal	(91,279)
Expiry of lease contract	<u>(418,577)</u>
As at 31 December 2024	39,651
Charge for the financial period	9,782
Termination	<u>(49,433)</u>
As at 31 December 2025/30 April 2026	<u>-</u>
Net carrying amount	
As at 31 December 2022	<u>168,966</u>
As at 31 December 2023	<u>182,058</u>
As at 31 December 2024	<u>26,973</u>
As at 31 December 2025/30 April 2026	<u>-</u>

The right-of-use assets of the Group included the lease of office premises. The Group has options to extend the lease term for 2 years at the end of the lease term.

Some leases contain extension options exercisable by the Group before the end of the non-cancellable contract period. In determining the lease term, management considers all facts and circumstances including the past practice and any cost that will be incurred to change the asset if an option to extend is not taken. An extension option is only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

12. ACCOUNTANTS' REPORT (Cont'd)**11. INVESTMENT PROPERTIES**

	Freehold land RM	Freehold buildings RM	Total RM
Cost			
As at 1 January 2022	1,187,764	2,466,126	3,653,890
Additions	-	342,440	342,440
As at 31 December 2022/1 January 2023	1,187,764	2,808,566	3,996,330
Additions	-	2,155,647	2,155,647
As at 31 December 2023/1 January 2024	1,187,764	4,964,213	6,151,977
Disposals	-	(894,650)	(894,650)
As at 31 December 2024/1 January 2025	1,187,764	4,069,563	5,257,327
Additions	-	1,822,553	1,822,553
As at 31 December 2025/1 January 2026	1,187,764	5,892,116	7,079,880
Additions	-	204,199	204,199
As at 30 April 2026	1,187,764	6,096,315	7,284,079
Accumulated depreciation			
As at 1 January 2022	-	90,794	90,794
Charge for the financial year	-	28,090	28,090
As at 31 December 2022/1 January 2023	-	118,884	118,884
Charge for the financial year	-	33,025	33,025
As at 31 December 2023/1 January 2024	-	151,909	151,909
Charge for the financial year	-	43,677	43,677
Disposals	-	(11,968)	(11,968)
As at 31 December 2024/1 January 2025	-	183,618	183,618
Charge for the financial year	-	43,446	43,446
As at 31 December 2025/1 January 2026	-	227,064	227,064
Charge for the financial period	-	17,232	17,232
As at 30 April 2026	-	244,296	244,296

12. ACCOUNTANTS' REPORT (Cont'd)

	Freehold land RM	Freehold buildings RM	Total RM
Net carrying amount			
As at 31 December 2022	<u>1,187,764</u>	<u>2,689,682</u>	<u>3,877,446</u>
As at 31 December 2023	<u>1,187,764</u>	<u>4,812,304</u>	<u>6,000,068</u>
As at 31 December 2024	<u>1,187,764</u>	<u>3,885,945</u>	<u>5,073,709</u>
As at 31 December 2025	<u>1,187,764</u>	<u>5,665,052</u>	<u>6,852,816</u>
As at 30 April 2026	<u>1,187,764</u>	<u>5,852,019</u>	<u>7,039,783</u>

- (a) Investment properties are held by the Group primarily for capital appreciation and rental income generation purposes. During the financial year ended 31 December 2025, the Group acquired 10 units of investment properties under construction with a total acquisition cost of RM6,701,020, as disclosed in Notes 30 and 33(d). Included in the freehold buildings balance is RM926,751 relating to investment properties under construction as at 30 April 2026 (31 December 2025: RM722,553; 31 December 2024: RM Nil; 31 December 2023: RM Nil).

(b) Fair value

The fair value of the investment properties of the Group was classified as Level 2 of the fair value hierarchy. There were no transfers between Levels 1, 2 and 3 during the financial period/year. The fair value was determined based on Directors' estimation using the latest available market information, recent experience and knowledge in the location and category of the properties being valued. Details of the Group's investment properties which located in Malaysia, and information about the fair value hierarchy are as follows:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Level 2 fair value	<u>7,039,783</u>	<u>6,852,816</u>	<u>5,539,716</u>	<u>6,088,222</u>	<u>3,955,710</u>

The Directors estimate the fair value of the investment properties based on comparison of the investment properties with similar properties that were recently transacted or listed for sale within the same locality or other comparable localities and enquiries with relevant property valuers on market conditions and changing market trends.

12. ACCOUNTANTS' REPORT (Cont'd)

- (c) During the financial period/year, the Group acquired investment properties as below:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Contra with trade receivables	-	-	-	1,812,807	342,440
Netted against trade receivables	-	722,553	-	-	-
Cash payment	204,199	440,000	-	342,840	-
Loan drawdown	-	660,000	-	-	-
	<u>204,199</u>	<u>1,822,553</u>	<u>-</u>	<u>2,155,647</u>	<u>342,440</u>

- (d) The net carrying amount of investment properties of the Group pledged for banking facilities granted to the Group as referred to in Note 22 are amounting to RM3,896,706 (31.12.2025: RM3,906,312; 31.12.2024: RM2,826,878; 31.12.2023: RM2,844,695; 31.12.2022: RM2,862,511).
- (e) During the financial period/year, the Group's investment properties' rental income and direct operating expenses are as follows:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Rental income	55,200	97,000	66,000	66,000	66,000
Direct operating expenses					
- Income generating	9,603	20,610	8,119	7,836	7,711
- Non-income generating	<u>5,455</u>	<u>1,935</u>	<u>9,209</u>	<u>6,893</u>	<u>9,232</u>

12. ACCOUNTANTS' REPORT (Cont'd)**12. DEFERRED TAX ASSETS/(LIABILITIES)**

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
At beginning of the financial period/year	365,772	1,527,406	164,087	63,902	-
Recognised in profit or loss (Note 8)	(627,364)	(1,161,634)	1,363,319	100,185	63,902
At end of the financial period/year	(261,592)	365,772	1,527,406	164,087	63,902

The deferred tax assets/liabilities in the financial statements are in respect of the tax effects are as follows:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Deferred tax assets (before offsetting)					
Temporary differences arise from:					
Accumulated impairment losses on trade receivables	1,152,911	1,193,908	105,393	204,631	55,795
Lease liabilities	-	-	6,667	44,272	41,046
Liquidated damages	1,091,040	1,091,040	1,467,840	656,640	656,640
Provision for defect liability	79,734	79,734	8,583	89,168	33,044
	2,323,685	2,364,682	1,588,483	994,711	786,525
	(2,323,685)	(1,998,910)	(61,077)	(830,624)	(722,623)
Deferred tax assets (after offsetting)	-	365,772	1,527,406	164,087	63,902
Deferred tax liabilities (before offsetting)					
Temporary differences arise from:					
Property, plant and equipment	2,585,277	1,998,910	54,603	786,930	682,071
Right-of-use assets	-	-	6,474	43,694	40,552
	2,585,277	1,998,910	61,077	830,624	722,623
	(2,323,685)	(1,998,910)	(61,077)	(830,624)	(722,623)
Deferred tax liabilities (after offsetting)	261,592	-	-	-	-

12. ACCOUNTANTS' REPORT (Cont'd)**13. TRADE RECEIVABLES**

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Trade receivables:					
Third parties	50,357,379	62,045,062	57,858,825	64,803,591	63,668,853
Retention sums of contracts	<u>55,223,916</u>	<u>47,072,201</u>	<u>36,024,800</u>	<u>40,182,267</u>	<u>48,497,148</u>
	105,581,295	109,117,263	93,883,625	104,985,858	112,166,001
Less: Allowance for impairment losses	<u>(4,782,962)</u>	<u>(4,957,944)</u>	<u>(4,213,668)</u>	<u>(8,459,798)</u>	<u>(6,503,525)</u>
	<u>100,798,333</u>	<u>104,159,319</u>	<u>89,669,957</u>	<u>96,526,060</u>	<u>105,662,476</u>

The credit period granted to customers is 30 to 90 days (31.12.2025: 30 to 90 days; 31.12.2024: 30 to 90 days; 31.12.2024: 30 to 90 days; 31.12.2022: 30 to 90 days).

The retention sum receivables are subject to satisfactory completion of the respective project's defect liability periods ranges from 1 to 2.5 years (31.12.2025: 1 to 2.5 years; 31.12.2024: 1 to 2.5 years; 31.12.2023: 1 to 2.5 years; 31.12.2022: 1 to 2.5 years) are presented as follows:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Within one year	26,336,297	13,289,588	10,880,878	4,790,865	355,472
Later than one year but less than five years	<u>28,897,119</u>	<u>33,782,613</u>	<u>25,143,922</u>	<u>35,391,402</u>	<u>48,141,676</u>
	<u>55,223,416</u>	<u>47,072,201</u>	<u>36,024,800</u>	<u>40,182,267</u>	<u>48,497,148</u>

In managing credit risk of trade receivables, the Group manages its debtors and takes appropriate actions (including but not limited to legal actions) to recover long overdue balances.

The Group applies the simplified approach to measure the impairment losses on trade receivables and contract assets at lifetime expected credit losses ("Lifetime ECL"). The Group compares the risk of default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition to ascertain whether there is a significant increase in credit risk. The assessment takes into consideration the macroeconomic information, credit rating and other supportable forward-looking information.

A significant increase in credit risk is presumed if a debt is more than 180 days past due. Where the credit risk has increased significantly, the impairment loss is measured at an amount equal to lifetime expected credit losses ("Lifetime ECL - Underperforming").

Full impairment losses are made for financial assets and contract assets that are determined to be credit impaired ("Lifetime ECL - Credit Impaired"). These are debtor who have defaulted on payments and are in financial difficulties.

12. ACCOUNTANTS' REPORT (Cont'd)

The Group does not hold any collateral or other credit enhancements over trade receivable balances.

Movements in allowance for impairment losses of trade receivables are as follows:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
<i><u>Simplified approach</u></i>					
<i>Individually assessed for credit-impaired receivables</i>					
At 1 January	4,484,518	3,774,532	7,607,170	6,271,044	5,840,731
Net movement of impairment losses recognised (Note 7)	187,666	709,986	(859,685)	1,336,126	(403,390)
Written off	-	-	(2,972,953)	-	-
At 30 April/31 December	<u>4,672,184</u>	<u>4,484,518</u>	<u>3,774,532</u>	<u>7,607,170</u>	<u>5,437,341</u>
<i>Collectively assessed for non-credit impaired receivables</i>					
At 1 January	473,426	439,136	852,628	232,481	415,564
Net movement of impairment losses recognised (Note 7)	<u>(362,648)</u>	<u>34,290</u>	<u>(413,492)</u>	<u>620,147</u>	<u>650,620</u>
At 30 April/31 December	<u>110,778</u>	<u>473,426</u>	<u>439,136</u>	<u>852,628</u>	<u>1,066,184</u>
Total allowance for impairment losses	<u>4,782,962</u>	<u>4,957,944</u>	<u>4,213,668</u>	<u>8,459,798</u>	<u>6,503,525</u>

12. ACCOUNTANTS' REPORT (Cont'd)

The following table provides information about the exposure to credit risk and ECLs for trade receivables as at the end of the reporting period:

	Gross Amount RM	Loss Allowance RM	Net Amount RM
30.4.2026			
Neither past due nor impaired	93,940,402	(73,424)	93,866,978
Past due but not impaired:			
1 to 30 days	3,049,127	-	3,049,127
31 days to 60 days	484,023	(1,458)	482,565
61 days to 90 days	605,760	-	605,760
More than 90 days	572,911	(35,896)	537,015
	4,711,821	(37,354)	4,674,467
Individually impaired	6,929,072	(4,672,184)	2,256,888
	<u>105,581,295</u>	<u>(4,782,962)</u>	<u>100,798,333</u>
31.12.2025			
Neither past due nor impaired	95,504,806	(154,836)	95,349,970
Past due but not impaired:			
1 to 30 days	3,628,354	(48,682)	3,579,672
61 days to 90 days	547,678	(31,534)	516,144
More than 90 days	2,405,953	(238,374)	2,167,579
	6,581,985	(318,590)	6,263,395
Individually impaired	7,030,472	(4,484,518)	2,545,954
	<u>109,117,263</u>	<u>(4,957,944)</u>	<u>104,159,319</u>
31.12.2024			
Neither past due nor impaired	56,046,179	(73,302)	55,972,877
Past due but not impaired:			
1 to 30 days	7,044,160	(31,180)	7,012,980
31 days to 60 days	8,216,206	(44,365)	8,171,841
61 days to 90 days	5,437,960	(39,266)	5,398,694
More than 90 days	10,803,162	(251,023)	10,552,139
	31,501,488	(365,834)	31,135,654
Individually impaired	6,335,958	(3,774,532)	2,561,426
	<u>93,883,625</u>	<u>(4,213,668)</u>	<u>89,669,957</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Gross Amount RM	Loss Allowance RM	Net Amount RM
31.12.2023			
Neither past due nor impaired	65,621,972	(409,973)	65,211,999
Past due but not impaired:			
1 to 30 days	1,265,965	(22,185)	1,243,780
31 days to 60 days	1,615,900	(82,803)	1,533,097
61 days to 90 days	6,165,195	(214,846)	5,950,349
More than 90 days	22,709,656	(122,821)	22,586,835
Individually impaired	31,756,716 7,607,170	(442,655) (7,607,170)	31,314,061 -
	<u>104,985,858</u>	<u>(8,459,798)</u>	<u>96,526,060</u>
31.12.2022			
Neither past due nor impaired	75,388,652	(174,301)	75,214,351
Past due but not impaired:			
1 to 30 days	12,612,555	(97,539)	12,515,016
31 days to 60 days	10,078,226	(47,027)	10,031,199
61 days to 90 days	6,800,363	(72,666)	6,727,697
More than 90 days	1,848,864	(674,651)	1,174,213
Individually impaired	31,340,008 5,437,341	(891,883) (5,437,341)	30,448,125 -
	<u>112,166,001</u>	<u>(6,503,525)</u>	<u>105,662,476</u>

Receivables that are neither past due nor impaired

Trade receivables that are neither past due nor impaired are creditworthy receivables with good payment records with the Group.

Receivables that are past due but not impaired

Trade receivables that were past due but not impaired relate to customers that have a good track record with the Group. Based on past experience and no adverse information to date, the Directors of the Group are of the opinion that no provision for impairment is necessary in respect of these balances as there has not been a significant change in the credit quality and the balances are still considered recoverable.

12. ACCOUNTANTS' REPORT (Cont'd)**14. OTHER RECEIVABLES, DEPOSITS AND PREPAYMENTS**

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Related parties	-	-	-	-	4,456,313
Other receivables	7,066,367	4,715,253	848,293	898,200	373,960
Deposits	6,392,569	5,647,542	5,285,083	3,837,001	2,861,856
Prepayments	<u>3,180,894</u>	<u>3,127,560</u>	<u>2,114,485</u>	<u>1,515,960</u>	<u>1,239,580</u>
	<u>16,639,830</u>	<u>13,490,355</u>	<u>8,247,861</u>	<u>6,251,161</u>	<u>8,931,709</u>

The amount due to a related party, included in other receivables, represents balance with an entity in which a Director has an interest and significant influence. These amounts are unsecured, interest-free, and repayable on demand.

15. AMOUNT DUE FROM DIRECTORS

These amounts represent unsecured, interest-free advances with no fixed term of repayment.

16. CONTRACT ASSETS/(LIABILITIES)

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
<u>Contract assets</u>					
Construction contracts	<u>123,049,109</u>	<u>98,656,206</u>	<u>46,948,798</u>	<u>27,267,838</u>	<u>19,575,168</u>
<u>Contract liabilities</u>					
Construction contracts	<u>4,546,000</u>	<u>6,926,179</u>	<u>4,805,788</u>	<u>23,772,438</u>	<u>42,341,336</u>

Contract assets/(liabilities) relating to construction contracts are as follows:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Net cumulative revenue	1,814,459,493	1,665,899,088	1,007,981,833	741,909,893	528,410,926
Less: Progress billing	<u>(1,695,956,384)</u>	<u>(1,574,169,061)</u>	<u>(965,838,823)</u>	<u>(738,414,493)</u>	<u>(551,177,094)</u>
	<u>118,503,109</u>	<u>91,730,027</u>	<u>42,143,010</u>	<u>3,495,400</u>	<u>(22,766,168)</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
<u>Represented by:</u>					
Contract assets	123,049,109	98,656,206	46,948,798	27,267,838	19,575,168
Contract liabilities	(4,546,000)	(6,926,179)	(4,805,788)	(23,772,438)	(42,341,336)
	<u>118,503,109</u>	<u>91,730,027</u>	<u>42,143,010</u>	<u>3,495,400</u>	<u>(22,766,168)</u>

Revenue is recognised net of LD, based on management's best estimate of expected claims in accordance with the terms of the contract.

The contract assets primarily relate to the Group's rights to consideration for work completed on construction contracts but not yet billed at the reporting date.

Contract liabilities include billings made in advance which represent amounts where customers have been invoiced ahead of the satisfaction of the performance obligation by the Group.

The contract liabilities primarily relate to the advance consideration received from customers for construction contract, which revenue is recognised over time at which the performance obligation is satisfied. This related to a major construction project where the project is expected to be completed in 2 to 3 years (31.12.2025: 2 to 3 years; 31.12.2024: 2 to 3 years; 31.12.2023: 2 years; 31.12.2022: 3 years).

The following table shows revenue from performance obligations that are unsatisfied (or partially unsatisfied) at the reporting date. The disclosure is only providing information for contracts that have duration of more than one year.

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Revenue is expected to be recognised from contracts with customers					
Within one year	405,607,995	479,196,987	45,398,049	180,681,641	185,189,731
Between one to two years	<u>677,343,566</u>	<u>725,314,365</u>	<u>618,624,439</u>	<u>176,617,492</u>	<u>244,164,287</u>
	<u>1,082,951,561</u>	<u>1,204,511,352</u>	<u>664,022,488</u>	<u>357,299,133</u>	<u>429,354,018</u>

12. ACCOUNTANTS' REPORT (Cont'd)**17. FIXED DEPOSITS WITH LICENSED BANKS**

The fixed deposits are pledged to financial institutions for banking facilities granted to the Company. The fixed deposits earn profit rates per annum with maturity period as follows:

	Audited 30.4.2026	Audited 31.12.2025	Audited 31.12.2024	Audited 31.12.2023	Audited 31.12.2022
Profit rates per annum (%)	1.75% - 2.80%	1.85% - 3.80%	1.85% - 2.54%	1.85% - 3.00%	1.45% - 3.00%
Maturity period (days)	<u>30 to 365</u>	<u>90 to 365</u>	<u>90 to 365</u>	<u>30 to 365</u>	<u>90 to 365</u>

12. ACCOUNTANTS' REPORT (Cont'd)

18. SHARE CAPITAL AND INVESTED EQUITY

	Audited 30.4.2026		Audited 31.12.2025		Audited 31.12.2024		Audited 31.12.2023		Audited 31.12.2022	
	Number of shares Unit	Amount RM	Number of shares Unit	Amount RM	Number of shares Unit	Amount RM	Number of shares Unit	Amount RM	Number of shares Unit	Amount RM
Issued and fully paid:										
<i>Share capital</i>										
<u>Ordinary shares</u>										
At beginning of the financial period/year	1	1	-	-	-	-	-	-	-	-
Issued during the financial period/year	-	-	1	1	-	-	-	-	-	-
At end of the financial period/year	1	1	1	1	-	-	-	-	-	-
<i>Invested equity</i>										
<u>Ordinary shares</u>										
At beginning of the financial period/year	7,000,000	7,000,000	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000
Issued during the financial period/year	-	-	2,000,000	2,000,000	-	-	-	-	-	-
At end of the financial period/year	7,000,000	7,000,000	7,000,000	7,000,000	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000
	7,000,001	7,000,001	7,000,001	7,000,001	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000

12. ACCOUNTANTS' REPORT (Cont'd)

On 19 April 2024, SLGC issued its subscriber's share of 1 ordinary share of RM1 for a total consideration of RM1. On 20 June 2025, SLG Construction increased its issued and paid-up share capital by way of the issuance of 2,000,000 new ordinary shares of RM1 each for a total consideration of RM2,000,000.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.

19. RETAINED EARNINGS/(ACCUMULATED LOSSES)

The retained earnings of the Group are available for distribution by way of cash dividends or dividends in specie. Under the single-tier system of taxation, dividends payable to shareholders are deemed net of income taxes. There are no potential income tax consequences that would result from the payment of dividends to shareholders.

20. TRADE PAYABLES

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Third parties	140,847,006	130,468,027	78,212,819	77,723,499	59,038,415
Retention sum	<u>21,338,243</u>	<u>18,039,575</u>	<u>21,584,401</u>	<u>18,006,445</u>	<u>15,042,147</u>
	<u>162,185,249</u>	<u>148,507,602</u>	<u>99,797,220</u>	<u>95,729,944</u>	<u>74,080,562</u>
Analysed by:					
Non-Current	-	-	7,766,873	-	-
Current	<u>162,185,249</u>	<u>148,507,602</u>	<u>92,030,347</u>	<u>95,729,944</u>	<u>74,080,562</u>
	<u>162,185,249</u>	<u>148,507,602</u>	<u>99,797,220</u>	<u>95,729,944</u>	<u>74,080,562</u>

The credit terms granted to the Group range from 1 to 2 months (31.12.2025: 1 to 2 months; 31.12.2024: 1 to 2 months; 31.12.2023: 1 to 2 months; 31.12.2022: 1 to 2 months).

The retention sum payables are subject to satisfactory completion of the respective project's defect liability periods ranging from 1 to 2.5 years (31.12.2025: 1 to 2.5 years; 31.12.2024: 1 to 2.5 years; 31.12.2023: 1 to 2.5 years; 31.12.2022: 1 to 2.5 years).

Non-current trade payables relate to deferred payment arrangements with strategic suppliers, pending the finalisation and clearance of final accounts. These amounts are contractually payable beyond 12 months from the end of the financial period/year.

12. ACCOUNTANTS' REPORT (Cont'd)**21. LEASE LIABILITIES**

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
At 1 January	12,686,149	3,884,144	5,642,397	8,199,708	5,437,393
Additions	-	10,936,368	2,518,720	1,533,074	5,976,344
Termination of lease contracts	-	(17,799)	(93,450)	(13,460)	-
Interest expense	202,582	270,827	299,380	395,940	434,370
Discount	-	-	-	-	6,600
Repayments:					
Principal	(1,184,807)	(2,116,564)	(4,183,523)	(4,076,925)	(3,229,160)
Interest	(202,582)	(270,827)	(299,380)	(395,940)	(434,370)
Other charges	-	-	-	-	8,531
At 30 April/31 December	<u>11,501,342</u>	<u>12,686,149</u>	<u>3,884,144</u>	<u>5,642,397</u>	<u>8,199,708</u>
Minimum lease payments					
Not later than one year	5,271,636	5,113,671	1,694,344	3,766,873	3,973,855
Later than one year and not later than five years	7,042,231	8,376,771	2,453,228	2,167,680	4,619,953
Later than five years	20,430	215,549	68,603	-	171,193
	<u>12,334,297</u>	<u>13,705,991</u>	<u>4,216,175</u>	<u>5,934,553</u>	<u>8,765,001</u>
Less: Future finance charges	<u>(832,955)</u>	<u>(1,019,842)</u>	<u>(332,031)</u>	<u>(292,156)</u>	<u>(565,293)</u>
Present value of lease liabilities	<u>11,501,342</u>	<u>12,686,149</u>	<u>3,884,144</u>	<u>5,642,397</u>	<u>8,199,708</u>
Present value of minimum lease payments					
Not later than one year	4,791,010	4,560,968	1,540,702	3,579,262	3,640,070
Later than one year and not later than five years	6,690,311	7,915,651	2,277,592	2,063,135	4,393,035
Later than five years	20,021	209,530	65,850	-	166,603
	<u>11,501,342</u>	<u>12,686,149</u>	<u>3,884,144</u>	<u>5,642,397</u>	<u>8,199,708</u>

The lease liabilities are in respect of financing the property, plant and equipment and right-of-use assets as referred to in Notes 9 and 10.

The lease payments are discounted using the Group's incremental borrowing rate of 5% (31.12.2025: 5%; 31.12.2024: 5%; 31.12.2023: 5%; 31.12.2022: 5%) per annum.

The Group has recognised the lease payments associated with short-term leases and low value assets on a straight-line basis over the lease terms and recognised as rental expenses as disclosed in Note 7 to the financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)**22. BANK BORROWINGS**

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Secured					
Non-Current					
Term loans	<u>5,427,982</u>	<u>5,709,252</u>	<u>5,401,333</u>	<u>5,808,050</u>	<u>4,915,210</u>
Current					
Bank overdraft	16,269,890	4,902,034	10,205,659	10,917,748	10,604,252
Trade financing	65,587,224	59,457,162	33,605,072	26,006,040	16,321,130
Term loans	<u>625,521</u>	<u>512,301</u>	<u>747,372</u>	<u>945,285</u>	<u>1,108,778</u>
	<u>82,482,635</u>	<u>64,871,497</u>	<u>44,558,103</u>	<u>37,869,073</u>	<u>28,034,160</u>
	<u>87,910,617</u>	<u>70,580,749</u>	<u>49,959,436</u>	<u>43,677,123</u>	<u>32,949,370</u>

The bank borrowings are secured by means of:

- (a) fixed charge over Group's freehold land and buildings as referred to in Notes 9 and 11;
- (b) pledged of fixed deposits as referred to in Note 17;
- (c) partial guaranteed by Syarikat Jaminan Pembiayaan Perniagaan, a guarantee scheme by the Government of Malaysia; and
- (d) jointly and severally guarantee by the Directors of the Group.

23. OTHER PAYABLES AND ACCRUALS

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Other payables	7,820,568	8,668,016	6,039,801	4,084,729	2,637,916
Accruals	24,258,731	16,876,888	15,707,028	12,199,183	14,921,117
Deposit received	30,000	31,100	11,000	11,000	11,000
Provision for defect liabilities	<u>332,224</u>	<u>332,224</u>	<u>35,764</u>	<u>371,534</u>	<u>137,678</u>
	<u>32,441,523</u>	<u>25,908,228</u>	<u>21,793,593</u>	<u>16,666,446</u>	<u>17,707,711</u>

The amount due to related parties, included in other payables, represents balance with an entity in which a Director has an interest and significant influence. These amounts are unsecured, interest-free, and repayable on demand.

The amount due to Director is unsecured, interest-free, and repayable on demand.

Included in accruals of the Group is an amount of RM21,883,112 (31.12.2025: RM13,576,489; 31.12.2024: RM11,811,505; 31.12.2023: RM9,224,073; 31.12.2022: RM12,311,622) accruals for subcontractor works performed but not yet billed.

12. ACCOUNTANTS' REPORT (Cont'd)**24. DIVIDENDS PAID**

In respect of the financial year ended 31 December 2022, an interim single-tier tax exempted dividend of RM0.46 per share on 5,000,000 ordinary shares amounted to RM2,300,000 was declared and paid on 17 January 2022.

In respect of the financial year ended 31 December 2024, an interim single-tier tax exempted dividend of RM2.95 per share on 5,000,000 ordinary shares amounted to RM14,758,000 was declared and to be paid out of the profits of the Company on 31 December 2024.

25. EARNINGS PER SHARE**(a) Basic earnings per share**

	Audited 30.4.2026 RM	Unaudited 30.4.2025 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Profit for the financial period/year	<u>6,009,023</u>	<u>4,124,039</u>	<u>13,985,417</u>	<u>16,030,120</u>	<u>5,728,766</u>	<u>1,134,463</u>
Weighted average number of ordinary shares in issue (unit)	<u>7,000,001</u>	<u>5,000,000</u>	<u>7,000,001</u>	<u>5,000,000</u>	<u>5,000,000</u>	<u>5,000,000</u>
Basic earnings per share	<u>0.86</u>	<u>0.82</u>	<u>2.00</u>	<u>3.21</u>	<u>1.15</u>	<u>0.23</u>

(b) Diluted earnings per share

Diluted earnings per ordinary share equals basic earnings per ordinary share because there are no potentially dilutive instruments in existence as at the end of each reporting period.

12. ACCOUNTANTS' REPORT (Cont'd)**26. RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES**

The table below details changes in the liabilities of the Group arising from financing activities, including both cash and non-cash changes.

	As at 1 January RM	Financing cash flows (i) RM	Non-cash changes (ii) RM	As at 30 April/31 December RM
30.4.2026				
Lease liabilities (Note 21)	12,686,149	(1,184,807)	-	11,501,342
Term loans (Note 22)	6,221,553	(168,050)	-	6,053,503
Trade financing (Note 22)	59,457,162	6,130,062	-	65,587,224
31.12.2025				
Lease liabilities (Note 21)	3,884,144	(2,479,966)	11,281,971	12,686,149
Term loans (Note 22)	6,148,705	(1,351,852)	1,424,700	6,221,553
Trade financing (Note 22)	33,605,072	25,852,090	-	59,457,162
31.12.2024				
Lease liabilities (Note 21)	5,642,397	(4,183,523)	2,425,270	3,884,144
Term loans (Note 22)	6,753,335	(604,630)	-	6,148,705
Trade financing (Note 22)	26,006,041	7,599,031	-	33,605,072
31.12.2023				
Lease liabilities (Note 21)	8,199,708	(4,076,925)	1,519,614	5,642,397
Term loans (Note 22)	6,023,988	729,347	-	6,753,335
Trade financing (Note 22)	16,321,130	9,684,911	-	26,006,041
31.12.2022				
Lease liabilities (Note 21)	5,437,393	(3,214,029)	5,976,344	8,199,708
Term loans (Note 22)	7,134,050	(1,110,062)	-	6,023,988
Trade financing (Note 22)	12,754,092	3,567,038	-	16,321,130

- (i) The cash flows from lease liabilities, term loans and trade financing make up the net amount of drawdown, advances or repayments in the combined statements of cash flows.
- (ii) Non-cash changes include additions and termination of term loans and lease liabilities, and advance payment of lease liabilities.

12. ACCOUNTANTS' REPORT (Cont'd)**27. RELATED PARTY DISCLOSURE****(a) Identify related parties**

For the purposes of these financial statements, parties are considered to be related to the Group if the Group has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group and the party are subject to common control. Related parties may be individuals or other entities.

Related parties also include key management. Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel of the Group include Director of the Company and certain members of senior management of the Group.

(b) Related party transactions

Related party transactions have been entered in the normal course of business under negotiated terms. In addition to the related party balances disclosed elsewhere in the financial statements, the related party transactions of the Group are as follows:

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Entities in which Directors have interest						
Advances to				15,890	22,537	2,150,000
Office charge	-	-	-	-	22,537	-
Services received from	-	-	-	-	-	112,494
Director (Advances to)/ Repayment from Directors	-	-	-	(2,304,422)	(13,716,084)	1,014,010

12. ACCOUNTANTS' REPORT (Cont'd)**(c) Compensation of key personnel management**

The remuneration of key management personnel during the financial period/year are as follows:

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Directors' fee	64,000	-	300,000	300,000	300,000	312,000
Salaries and other emoluments	450,159	277,393	1,055,663	1,011,651	870,000	792,000
Defined contribution plans	49,703	46,800	125,400	107,280	107,876	90,720
	<u>563,862</u>	<u>324,193</u>	<u>1,481,063</u>	<u>1,418,931</u>	<u>1,277,876</u>	<u>1,194,720</u>

In prior financial year ended 31 December 2022, the estimated monetary value of benefit-in-kind provided to Group's Directors and key management personnel is RM86,031.

28. SEGMENTAL INFORMATION

Segmental information is primarily presented in respect of the Group's business segment which is based on the Group's management and internal reporting structure.

(a) Business segment

The principal activities of the Group are in a single industry segment of construction works. The other segments are investment holding which is not of a sufficient size to be reported separately.

Management monitors the operating results of the Group as a whole for the purpose of making decisions about resource allocation and performance assessment as combining entities' revenue, profit or loss, assets and liabilities are mainly confined to a single operating segment. Accordingly, the Group has only one reportable segment.

(b) Geographical segment

In determining the geographical segments of the Group, segment revenue is based on the geographical location of customers. Segment assets and segment capital expenditure are based on geographical location of assets. The geographical location of customers and assets are within Malaysia. As such, segmental reporting by geographical segment is deemed not necessary.

12. ACCOUNTANTS' REPORT (Cont'd)**(c) Major customers**

The following are major customers with revenue equal to or more than 10% of the Group's total revenue:

	Audited 1.1.2026 to 30.4.2026 RM	Unaudited 1.1.2025 to 30.4.2025 RM	Audited 1.1.2025 to 31.12.2025 RM	Audited 1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	Audited 1.1.2022 to 31.12.2022 RM
Customer A	-	-	-	-	23,527,480	56,928,996
Customer B	-	-	-	(8,098,618)	50,022,210	104,642,082
Customer C	-	-	869,358	20,121,867	37,214,798	16,731,992
Customer D	-	41,190,843	42,439,735	160,013,052	81,054,164	3,809,955
Customer E	32,561,924	16,580,130	55,767,292	17,644,551	-	-
Customer F	25,116,292	10,646,124	53,257,208	8,901,130	-	-
Customer G	26,187,777	3,651,428	44,147,418	-	-	-
Customer H	16,031,158	6,015,160	24,012,245	6,726,790	-	-
Customer I	15,753,060	158,012	34,221,428	-	-	-
Customer J	16,635,461	1,051,504	27,695,833	-	-	-

29. FINANCIAL INSTRUMENTS**(a) Classification of financial instruments**

The following table analyses the financial assets and liabilities in the combined statements of financial position by the class of financial instruments to which they are assigned, and therefore by the measurement basis:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Financial assets					
<i>At amortised costs</i>					
Trade receivables	45,574,417	57,087,118	53,645,157	56,343,793	57,165,328
Other receivables and deposits	13,458,936	10,362,795	6,133,376	4,735,201	7,692,129
Amount due from Directors	-	-	-	15,799,718	2,083,634
Fixed deposits with licensed banks	30,989,590	24,307,634	17,617,990	12,697,521	14,216,689
Cash and bank balances	19,103,956	11,860,424	6,988,967	11,541,322	6,775,217
Financial liabilities					
<i>At amortised costs</i>					
Trade payables	140,847,006	130,468,027	78,212,819	77,723,499	59,038,415
Other payables and accruals	32,109,299	25,576,004	21,757,829	16,294,912	17,570,033
Bank borrowings	87,910,617	70,580,749	49,959,436	43,677,123	32,949,370

12. ACCOUNTANTS' REPORT (Cont'd)**(b) Financial risk management objectives and policies**

The Group's activities in the normal course of business expose it to a variety of financial risks, including credit risk, liquidity risk and market risk. The Group's overall financial risk management objective is to minimise potential adverse effects of these risks on the financial performance of the Group. Financial risk management is carried out through risk reviews, internal control systems and adherence to prudent financial risk management policies.

The Group does not use derivative financial instruments as the nature and size of its financial assets and liabilities do not warrant the use of such instruments at present. It does not trade in financial instruments.

(i) Credit risk

Credit risk is the risk of a financial loss if a customer or counterparty to a financial instrument fails to meet its contractual obligations. It arises when services or sales are made on deferred credit terms. The credit risk of the Group is concentrated in trade and other receivables, contract assets and deposits.

The Group considers the risk of material loss in the event of non-performance by the financial counterparty or customer to be unlikely beyond amounts allowed for collection losses in the Group's receivables.

Trade receivables and contract assets***Risk management objectives, policies and processes for managing the risk***

Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis. Normally sales limits are established for each customer and any sales exceeding those limits require approval from the management.

At each reporting date, the Group assesses whether any of the trade receivables and contract assets are credit impaired. The Group considers financial assets in default when the counterparty is unable to pay its credit obligations to the Group in full.

The gross carrying amounts of credit impaired trade receivables and contract assets are written off (either partially or full) when there is no realistic prospect of recovery. Nevertheless, trade receivables and contract assets that are written off could still be subject to enforcement activities.

Exposure to credit risk

As at the end of the reporting period, the maximum exposure to credit risk arising from trade receivables and contract assets are represented by the carrying amounts in the combined statements of financial position.

The Group does not require collateral in respect of trade receivables. The Group does not have trade receivable for which no loss allowance is recognised because of collateral.

12. ACCOUNTANTS' REPORT (Cont'd)*Concentration of credit risk*

Concentration of credit risk arises when a number of customers are engaged in similar business activities or activities within the same geographic region, or when they have similar risk characteristics that would cause their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions. The Group monitors various portfolios to identify and assess risk concentration.

The Group's major concentration of credit risk relates to the amount due from its trade receivables at the end of the reporting period as follows:

	Audited 30.4.2026	Audited 31.12.2025	Audited 31.12.2024	Audited 31.12.2023	Audited 31.12.2022
Number of receivables	3	4	3	1	Nil
% of total trade receivables	<u>42%</u>	<u>54%</u>	<u>47%</u>	<u>29%</u>	<u>Nil</u>

Expected credit loss assessment for customers

The Group applies the simplified approach to provide for expected credit losses for all trade receivables and contract assets. To measure the impairment losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. Loss rate is based on actual credit loss experience over the past three years. The Group also considers differences between (a) economic conditions during the period over which the historic data has been collected, (b) current conditions and (c) the Group's view of economic conditions over the expected lives of the receivables.

Other receivables

Credit risk on other receivables is mainly arising from sundry debtors and deposits receivables. The Group applies the 3-stage general approach to measuring expected credit losses for its other receivables, amount owing by related party and other receivables. The Group monitors the repayment on an individual basis.

At the reporting date, the Group's maximum exposure to credit risk arising from other receivables and other financial assets is represented by the carrying amount of each class of financial assets recognised in the combined statements of financial position.

As at the end of the reporting date, the Group considers the other receivables and other financial assets as low credit risk and any loss allowance would be negligible.

12. ACCOUNTANTS' REPORT (Cont'd)Cash and cash equivalents

The cash and bank balances are mainly held with bank and financial institution counterparties, which have financial strength and are reputable with high credit rating and no history of default. As at the end of the reporting period, the maximum exposure to credit risk is represented by their carrying amounts in the statement of financial position.

Impairment on cash and bank balances has been measured on the 12-month expected loss basis and reflects the short maturities of the exposures. The Group considers that its cash and bank balances have low credit risk. Therefore, the Group is of the view that the loss allowance is immaterial and hence, it is not provided for.

(ii) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as and when they fall due. Liquidity risk is managed by maintaining an adequate level of cash reserves and committed credit facilities, and close monitoring of working capital requirements. The Group seeks to maintain a balance between continuity of funding and flexibility through the use of stand-by facilities. If required, the Group will raise additional funds through external borrowings.

12. ACCOUNTANTS' REPORT (Cont'd)

The following table details the Group's liquidity analysis for financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. The amounts disclosed in the table are the undiscounted contractual cash flows:

	Carrying amount RM	Weighted average contractual interest rate %	Contractual cash flows RM	Within 1 year RM	1 to 2 years RM	2 to 5 years RM	More than 5 years RM
30.4.2026							
Trade payables	140,847,006	-	140,847,006	140,847,006	-	-	-
Other payables and accruals	32,109,299	-	32,109,299	32,109,299	-	-	-
Bankers' acceptance	40,776,219	5.61	40,776,219	40,776,219	-	-	-
Bank overdraft	16,269,890	6.15	16,269,890	16,269,890	-	-	-
Lease liabilities	11,501,342	3.83	12,334,297	5,271,636	7,042,231	20,430	-
Trade financing	24,811,005	6.28	24,811,005	24,811,005	-	-	-
Term loans	6,053,503	4.58	7,457,764	846,774	1,693,488	2,102,141	2,815,361
	<u>272,368,264</u>		<u>274,605,480</u>	<u>260,931,829</u>	<u>8,735,719</u>	<u>2,122,571</u>	<u>2,815,361</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Carrying amount RM	Weighted average contractual interest rate %	Contractual cash flows RM	Within 1 year RM	1 to 2 years RM	2 to 5 years RM	More than 5 years RM
31.12.2025							
Trade payables	130,468,027	-	130,468,027	130,468,027	-	-	-
Other payables and accruals	25,576,004	-	25,576,004	25,576,004	-	-	-
Bankers' acceptance	37,171,988	5.24	37,171,988	37,171,988	-	-	-
Bank overdraft	4,902,034	6.15	4,902,034	4,902,034	-	-	-
Lease liabilities	12,686,149	3.87	13,705,991	5,113,671	8,376,771	215,549	-
Trade financing	22,285,174	6.17	22,285,174	22,285,174	-	-	-
Term loans	6,221,553	4.53	8,151,328	767,688	1,535,376	2,527,328	3,320,936
	<u>239,310,929</u>		<u>242,260,546</u>	<u>226,284,586</u>	<u>9,912,147</u>	<u>2,742,877</u>	<u>3,320,936</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Carrying amount RM	Weighted average contractual interest rate %	Contractual cash flows RM	Within 1 year RM	1 to 2 years RM	2 to 5 years RM	More than 5 years RM
31.12.2024							
Trade payables	78,212,819	-	78,212,819	70,445,946	7,766,873	-	-
Other payables and accruals	21,757,829	-	21,757,829	21,757,829	-	-	-
Bankers' acceptance	31,845,027	5.87	31,845,027	31,845,027	-	-	-
Bank overdraft	10,205,659	6.15	10,205,659	10,205,659	-	-	-
Lease liabilities	3,884,144	4.19	4,216,175	1,694,344	2,453,228	68,603	-
Trade financing	1,760,045	6.10	1,760,045	1,760,045	-	-	-
Term loans	6,148,705	4.36	8,617,459	994,592	994,592	2,857,296	3,770,979
	<u>153,814,228</u>		<u>156,615,013</u>	<u>138,703,442</u>	<u>11,214,693</u>	<u>2,925,899</u>	<u>3,770,979</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Carrying amount RM	Weighted average contractual interest rate %	Contractual cash flows RM	Within 1 year RM	1 to 2 years RM	2 to 5 years RM	More than 5 years RM
31.12.2023							
Trade payables	77,723,499	-	77,723,499	77,723,499	-	-	-
Other payables and accruals	16,294,912	-	16,294,912	16,294,912	-	-	-
Bankers' acceptance	23,109,119	5.52	23,109,119	23,109,119	-	-	-
Bank overdraft	10,917,748	7.93	10,917,748	10,917,748	-	-	-
Lease liabilities	5,642,397	4.82	5,934,553	3,766,873	2,167,680	-	-
Trade financing	2,896,921	6.92	2,896,921	2,896,921	-	-	-
Term loans	6,753,335	4.78	7,042,309	1,034,030	511,413	2,045,650	3,451,216
	<u>143,337,931</u>		<u>143,919,061</u>	<u>135,743,102</u>	<u>2,679,093</u>	<u>2,045,650</u>	<u>3,451,216</u>

12. ACCOUNTANTS' REPORT (Cont'd)

	Carrying amount RM	Weighted average contractual interest rate %	Contractual Cash flow RM	Under 1 year RM	1 to 2 years RM	2 to 5 years RM	More than 5 years RM
31.12.2022							
Trade payables	59,038,415	-	59,038,415	59,038,415	-	-	-
Other payables and accruals	17,570,033	-	17,570,033	17,570,033	-	-	-
Trade financing	16,321,130	7.89	16,321,130	16,321,130	-	-	-
Bank overdraft	10,604,252	7.64	10,604,252	10,604,252	-	-	-
Lease liabilities	8,199,708	5.16	8,765,001	3,973,855	3,100,341	1,519,612	171,193
Term loans	6,023,988	6.80	7,309,530	948,119	927,825	2,138,517	3,295,069
	<u>117,757,526</u>		<u>119,608,361</u>	<u>108,455,804</u>	<u>4,028,166</u>	<u>3,658,129</u>	<u>3,466,262</u>

12. ACCOUNTANTS' REPORT (Cont'd)**(iii) Market risk**

Market risk is the risk that changes in market prices, such as foreign exchange rate and interest rates that will affect the Group's financial position or cash flows.

Interest rate risk

The Group's fixed rate borrowings are exposed to a risk of change in their fair value due to changes in interest rates. The Group's variable rate borrowings are exposed to a risk of change in cash flows due to changes in interest rates. Short term receivables and payables are not significantly exposed to interest rate risk.

The Group managed interest rate risk through effective use of its floating and fixed rate debts.

Exposure to interest rate risk

The interest rate profile of the Group's significant interest-bearing financial instruments and lease liabilities, based on carrying amounts as at the end of the reporting period was:

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Fixed rate instruments					
Fixed deposits placed with licensed banks	30,989,590	24,307,634	17,617,990	12,697,521	14,216,689
Lease liabilities	<u>(11,501,342)</u>	<u>(12,686,149)</u>	<u>(3,884,144)</u>	<u>(5,642,397)</u>	<u>(8,199,708)</u>
Floating rate instruments					
Bank borrowings	<u>(87,910,617)</u>	<u>(70,580,749)</u>	<u>(49,959,436)</u>	<u>(43,677,123)</u>	<u>(32,949,370)</u>

12. ACCOUNTANTS' REPORT (Cont'd)*Interest rate risk sensitivity analysis*Fair value sensitivity analysis for fixed rate instruments

The Group does not account for any fixed rate financial asset and liability at fair value through profit or loss, and the Group does not designate derivatives as hedging instruments under a fair value hedge accounting model. Therefore, a change in interest rates at the end of the reporting period would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instrument

At the end of the reporting period, if interest rates have been 100 basis points ("bp") lower/higher, with all other variables held constant, the Group's profit before tax for the financial period/year would have been approximately RM879,106 (31.12.2025: RM705,807; 31.12.2024: RM499,594; 31.12.2023: RM436,700; 31.12.2022: RM329,000) higher/lower, arising mainly as a result of lower/higher finance costs on floating rate borrowings. The assumed movement in bp for interest rate sensitivity analysis is based on a prudent estimate of the current market environment.

(c) Fair value of financial instruments

The carrying amount of long-term payables that measured at amortised cost approximates their fair value as the impact of discounting is not material.

The carrying amount of the non-current portion of loans and borrowings that carry floating interest rates approximate their fair value as they are re-priced to market interest rates on or near the reporting date.

The carrying amount of lease liabilities that carry fixed interest rates approximates their fair value as the impact of discounting is not material.

30. CAPITAL COMMITMENTS

	Audited 30.4.2026 RM	Audited 31.12.2025 RM	Audited 31.12.2024 RM	Audited 31.12.2023 RM	Audited 31.12.2022 RM
Contracted but not provided:					
Investment properties	<u>5,774,268</u>	<u>5,978,467</u>	<u>809,100</u>	<u>-</u>	<u>-</u>

12. ACCOUNTANTS' REPORT (Cont'd)**31. MATERIAL LITIGATIONS**

- (i) **Originating Summon on Johor Bahru High Court (Civil Suit No.: JA-22NCvC-113-07/2022) Ever Grow Land Sdn. Bhd. and Dihao Property Sdn. Bhd. (collectively, the "Plaintiffs") against SLG Construction ("Defendants")**

Both Ever Grow Land Sdn Bhd and Dihao Property Sdn Bhd (collectively, "Plaintiff") initiated proceeding against SLG Construction on 25 July 2022 based on the alleged breach of the LOA dated 4 May 2017 for the proposed construction of 5 units of 2-Storey shop offices on part of Lot 1434, Bukit Gelugor, Pengerang District, Pantai Timor Subdistrict, 81600 Johor Darul Takzim. The Plaintiff claimed RM2,160,000.00 being the alleged rental paid to the owner of the land, RM1,722,556.73 as damages to complete the alleged defect rectification works, RM474,374.41 as damages for alleged defects rectification works and alleged excessive payment of RM305,403.59 and unquantified amount for alleged LD.

SLG Construction had filed in defence and counterclaim against the Plaintiff as well as their directors Yong Yon Hai and Yong Wen Siow. SLG Construction is claiming RM546,271.10 and unquantified damages for punitive/aggravative damages.

The Plaintiff's application to strike out the SLG's counterclaim has been dismissed. The trial has been concluded and the court has directed parties to exchange submission by 20 July 2026 and submission in reply by 3 August 2026. The continuation of trial is fixed on 21 August 2026.

The solicitors are of the view that there is a fair chance that SLG Construction will succeed in opposing the main claim and winning the counter-claim, with the cost to winning party is estimated to be RM50,000 to RM100,000. As at the reporting date, no provision has been made by the Group in relation to this case.

The estimated financial exposure to the Group, should the Plaintiff succeed in full, is approximately RM4.66 million, comprising rental paid to the landowner, damages for alleged defect rectification works, alleged excessive payment and alleged liquidated damages, together with an unquantified sum for liquidated damages, costs, relief and interest, the quantum of which can only be determined upon judgment or conclusion of the litigation.

12. ACCOUNTANTS' REPORT (Cont'd)

- (ii) **Court of Appeal, Appeal No: W-02(C)(A)-1551-08/2025 & W-02(C)(A)-1550-08/2025 & Kuala Lumpur High Court Civil Suit No: WA-24C-53-03/2025 & WA-24C-61-04/2025 & WA-22C -16-03/2025 between KLF Elektrik Sdn Bhd ("KLF") in relation to the Admiral Residences Project**

KLF Elektrik Sdn Bhd ("KLF") initiated an adjudication pursuant to Construction Industry Payment and Adjudication Act 2012 ("CIPAA Act") against SLG Construction via payment claim dated 26 September 2024 for the alleged non-payment by SLG of the outstanding sum amounting to RM3,438,203.08 in relation to the LOA dated 11 January 2020 in relation to the Admiral Residences Project.

Vide adjudication decision dated 10 March 2025:

- (a) SLG Construction shall pay KLF the sum of RM2,563,233.86;
- (b) SLG Construction shall pay KLF interests calculated at the rate of 5% per annum on RM227,195.54, calculated from 1 September 2024 until full settlement; and
- (c) SLG Construction shall pay costs of adjudication amounted to RM146,514.33 (collectively the "Adjudication Decision").

Dissatisfied with the Adjudication Decision, SLG Construction has filed an application to set aside and stay the Adjudication Decision via Originating Summons Civil Suit No.: WA-24C-53-03/2025 ("SLG Construction's Originating Summons") on 24 March 2025 and has on 8 April 2025 obtained an interim stay of the same pending disposal of the Writ Action filed by SLG Construction on 16 April 2025 under the Originating Summons Civil Suit No: WA-22C-16-03/2025 ("Writ Action"). SLG Construction has, in the Writ Action, claimed for the following:

- (a) The sum of RM2,371,112.95 being the excess payment made by SLG Construction to KLF, penalty, back charges, payment on behalf of SLG Construction, rental of machinery and cost of engaging additional manpower or third party contractor;
- (b) Liquidated damages amounting to RM5,050,000.00;
- (c) Alternative to the liquidated damages amount claimed as above, the sum of RM583,573.87 or the amount to be assessed by the court;
- (d) A declaration that SLG Construction is entitled to set-off the sum owing to KLF (if any);
- (e) Interest at 5% per annum on the sum awarded from the date of the Writ Action until the date of full payment;
- (f) Cost of the Writ Action; and
- (g) Such further relief as the court deems just and fit.

KLF has filed an application to strike out SLG Construction's abovementioned claim, however the application has been dismissed with cost in the cause. The court has directed parties to file in pre-trial documents by 20 January 2026. The trial is currently fixed on 8 September 2026 until 11 September 2026 and the next case management is fixed on 11 August 2026.

12. ACCOUNTANTS' REPORT (*Cont'd*)

The solicitors are of the opinion that SLG Construction has a fair chance in succeeding with its application of stay or a conditional stay under the Writ Action and defending the counterclaim, with the cost to winning party is estimated to be RM50,000 to RM70,000.

Additionally, KLF has on 4 April 2025 filed in an action to enforce the Adjudication Decision vide Originating Summons Civil Suit No: WA-24C-61-04/2025 ("KLF's Originating Summons").

On 18 July 2025, the High Court has dismissed SLG Construction's Originating Summons and allowed KLF's Originating Summons. SLG Construction has initiated a settlement proposal with KLF to pay the adjudication sum and costs in instalments. On 25 July 2025, SLG Construction furnished all post-dated cheques to KLF on a non-prejudice basis, pending the outcome of the Writ Action. Both parties have agreed that the sum of RM2,745,831.94 shall be paid in 6 instalments by way of post-dated cheques of RM457,638 each and a final cheque of RM467,641.94, covering the period from July to December 2025.

Notwithstanding the settlement arrangement, SLG Construction filed two notices of appeal in the Court of Appeal on 15 August 2025:

- (a) Appeal No: W-02(C)(A)-1550-08/2025 to against the decision on KLF's Originating Summons; and
- (b) Appeal No: W-02(C)(A)-1551-08/2025 against the decision on SLG Construction's Originating Summons.

SLG Construction has filed the record of appeal and memorandum of appeal for both cases on 15 October 2025. On 19 May 2026, the Court of Appeal dismissed both appeals and awarded costs of RM25,000 for each appeal in favour of KLF.

As at the reporting date, no provision has been made by the Group in relation to this case as the Group has furnished the post-dated cheques to KLF for settlement of the agreed sum as mentioned above. Further, both parties are still in the midst of settlement negotiations pursuant to the outcome of the appeals as mentioned above.

12. ACCOUNTANTS' REPORT (Cont'd)**(iii) Ad Hoc Arbitration between GD Pavillion Sdn Bhd ("GD Pavillion") and SLG Construction in relation to the Youth City Project**

On 2 February 2024, SLG Construction initiated adjudication proceeding pursuant to the CIPAA Act bearing the reference number: AIAC/D/ADJ-5288-2024 against GD Pavillion for the sum of RM43,266,159.30 or the work done pursuant to the LOA dated 9 January 2019 in relation to the Youth City Project.

Vide the adjudication decision dated 6 September 2024, as corrected on 12 September 2024, it was adjudicated, inter alia, that:

- (a) SLG Construction has succeeded in its claims against GD Pavillion in the sum of RM24,809,167.40;
- (b) GD Pavillion is to pay SLG Construction the simple interest on the outstanding amount based on Maybank Base Lending Rate plus one (1) percent commencing from the date of adjudication decision until the date of full realisation; and
- (c) GD Pavillion is to bear the costs of proceeding amounting to RM114,860.00 within 30 calendar days, failing which, GD Pavillion is to pay a simple interest of 5% on the sum until the date of full realisation.

Subsequent to the above adjudication decision, GD Pavillion entered into a settlement agreement dated 11 October 2024 to settle the adjudication decision vide 10 instalments, with the settlement sum being RM26,807,192.48 (including cost and interest).

On 19 November 2024, GD Pavillion issued a notice of arbitration claiming an alleged exceed payment amount to RM15,231,719.07 (inclusive of the adjudicated sum even though the postdated cheques had not been fully cleared). The claim amount is then revised to RM17,175,764.55 vide the Statement of Claim dated 20 May 2025.

On 10 December 2024, SLG Construction responded to GD Pavillion's notice of arbitration and counterclaim the sum of RM41,384,382.20 which is subject to adjustment pending clearance of the post-dated cheque.

On 12 March 2025, the arbitrator has been appointed and the hearing has been rescheduled to the period between 17 August 2026 to 19 August 2026 and 27 October 2026 to 28 October 2026 based on the arbitrator's schedule.

The solicitors are of the opinion that there is a fair chance of success in SLG's counterclaim against GD Pavillion. Nevertheless, as at the reporting date, SLG Construction has made a provision of liquidated damages for the Youth City Project amounting to RM4,667,945.90.

12. ACCOUNTANTS' REPORT (Cont'd)

The estimated financial exposure, should GD Pavillion succeed in full, is approximately RM26,016,941.26, together with claims, damages, costs, losses, liabilities, cost and expenses, relief and interest, the quantum of which can only be determined upon conclusion of the arbitration proceeding. The estimated sum of RM26,016,941.26 comprises RM17,175,764.55 being the alleged exceed payment amount, and RM8,841,194.71 being the alleged loss and expense.

(iv) Originating Arbitration No: ADM/ARB/36-915/2025 between Tanjung Ratna Sdn Bhd ("Tanjung Ratna") and SLG Construction (the "Arbitration") in relation to the Admiral Residences Project

Tanjung Ratna had on 27 January 2025 initiated arbitration proceedings against SLG Construction for a total claim of RM18,145,230.65. Nevertheless, based on the Statement of Case served on 4 July 2025 and as amended on 21 January 2026, Tanjung Ratna is claiming the following sum against SLG Construction:

- (a) RM19,150,000.00 being the liquidated damages;
- (b) RM1,367,100.00 being the purchase price of the SPAs (defined hereinafter);
- (c) RM548,130.65 being the cost and expense incurred in engaging a third party contractor;
- (d) interest on the above sums that the arbitrator awards to Tanjung Ratna based on the Maybank Base Lending Rate plus one (1) percent ("BLR +1%") from the date of the arbitrator's award until the date of full settlement;
- (e) cost of this arbitration; and
- (f) any other or additional reliefs that the arbitrator deems fit and just to award.

The claim is based on the alleged breach of the LOA dated 21 October 2019, arising from delay and failure to complete the construction works for the Admiral Residences Project within the stipulate date of completion under the relevant LOA, as well as outstanding payments under 4 sale and purchase agreements for Units No. C-8-16, C-22-7, C-22-9, and D-18-3A of Admiral Residences ("SPAs"). Each of the SPAs was entered into separately between Tanjung Ratna and the respective director and employee of SLG, namely Lam Jit Yau (for Unit C-8-16), Liong Yan Herng (for Unit C-22-07), Yong Zhen Lin and Chew Ka Yan (for Unit C-22-9) as well as Loo Chun Kok (for Unit D-18-3A).

SLG Construction has filed the statement of defence and counterclaim on 17 October 2025 and has denied all the allegations and claims made by Tanjung Ratna. SLG Construction counterclaimed for a total of RM17,954,318.31 together with such other reliefs as may be deemed fit in the Arbitration for the alleged non-payment, wrongful certification practices, late payment interest, the loss and expense from the delays caused by Tanjung Ratna in relation to the construction of the Admiral Residences Project and various declaratory reliefs under the contract. The arbitration hearing dates are fixed on 11 to 15 January 2027 and 25 to 28 January 2027.

SLG Construction's solicitors are of the opinion that there is a fair chance of success to succeed in defending the claims by Tanjung Ratna.

12. ACCOUNTANTS' REPORT (Cont'd)

Nevertheless, as at the reporting date, the Group has made a provision of LD for Admiral Residences Project amounting to RM2.00 million, based on the estimated LD of RM2.00 million, which was based on an independent expert's opinion that there is a 30% likelihood that the LD of RM6.72 million may be imposed on SLG Construction. The expert has arrived at their opinion based on their industry experience, after taking into consideration the relevant facts and circumstances of the case, including the company's entitlement to EOT by the customer as well as the outcome of the Adjudication Decision Dated 25 September 2025 (as defined herein), which was favourable to SLG Construction.

The estimated financial exposure to the Group, should Tanjung Ratna succeed in full, is approximately RM19,698,130.65, together with costs, relief and interest, the quantum of which can only be determined upon conclusion of the arbitration proceeding. The estimated sum of RM19,698,130.65 comprises RM19,150,000.00 being the LD, and RM548,130.65 being the cost and expense incurred in engaging a third-party contractor.

- (v) **Court of Appeal, Kuala Lumpur High Court Civil Suit No: WA-24C-157-10/2025 & WA-24C-163-10/2025 & WA-24C-164-10/2025 & Adjudication No: AIAC/D/ADJ/5834-2025 between SLG Construction and Tanjung Ratna (the "Adjudication") in relation to the Admiral Residences Project**

SLG Construction had on 5 May 2025 commenced an adjudication against Tanjung Ratna under the Construction Industry Payment and Adjudication Act 2012 ("CIPAA 2012") arising from the Arbitration. In the Adjudication, SLG Construction claims the following against Tanjung Ratna:

- (a) payment of RM5,890,528.19 being the outstanding certified sum under Certificate of Payment No. 54 dated 9 September 2024;
- (b) contractual late payment interest of RM89,294.97 in respect of Certificate of Payment No. 54 from 9 November 2024 until 16 January 2025;
- (c) contractual late payment interest at the rate of 7.65% per annum on the outstanding of RM5,890,528.19 from 17 January 2025 until full and final payment;
- (d) as an alternative to paragraphs (b) and (c), interest at such rate and for such period as deemed fit by the learned adjudicator;
- (e) full costs arising from and/or in connection with the adjudication proceedings; and such further and other relief deemed fit by the learned adjudicator.

On 25 September 2025, the adjudicator ordered, amongst other, Tanjung Ratna to pay to SLG Construction as follows:

- (a) the adjudicated sum of RM5,890,528.19;
- (b) a sum of RM89,294.97 being interest due from 9 November 2024 to 16 January 2025;
- (c) Tanjung Ratna is to bear the entire costs of adjudication including AIAC registration fee of RM270.00, AIAC fee to appoint adjudicator of RM432.00 and SLG Construction's portion of adjudicator's fee and expense and the AIAC administrative fees in the sum of RM30,400.00;
- (d) representation costs of RM50,000.00;
- (e) interest on the adjudicated sum at BLR + 1% per annum be calculated from 17 January 2024 until full settlement;